

**TOWN OF PITTSBORO
NORTH CAROLINA**

Financial Statements and
Supplementary Information

Year Ended June 30, 2023

Governing Board

Cindy Perry, Mayor
Pamela Baldwin
J.A. (Jay) Farrell
John Bonitz
Kyle Shipp
James Vose

Town Officials

Jonathan Franklin, Town Manager
Carrie Bailey, Town Clerk
Heather E.R. Meacham, Finance Director

TOWN OF PITTSBORO, NORTH CAROLINA

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FINANCIAL SECTION



Independent Auditors' Report

To the Honorable Mayor
and Members of the Board of Commissioners
Town of Pittsboro
Pittsboro, North Carolina

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, the discretely presented component unit, each major fund, and the aggregate remaining fund information of the Town of Pittsboro, North Carolina, as of and for the year ended June 30, 2023, and the related notes to the financial statements, which collectively comprise the Town's basic financial statements as listed in the table of contents.

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, the discretely presented component unit, each major fund, and the aggregate remaining fund information of the Town of Pittsboro, North Carolina as of June 30, 2023, and the respective changes in financial position, and where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

We did not audit the financial statements of Town of Pittsboro Board of Alcohol Beverage Control as of June 30, 2023, and the respective changes in financial position, and where applicable, cash flows thereof for the year then ended. Those statements were audited by other auditors whose report has been furnished to us, and our opinion is based solely on the report of the other auditors.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Town of Pittsboro, North Carolina, and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Town of Pittsboro, North Carolina's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Town of Pittsboro, North Carolina's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Town of Pittsboro, North Carolina's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's discussion and Analysis on pages 4 through 15, Local Government Employees' Retirement System's Schedules of the Proportionate Share of the Net Pension Liability and Contributions on pages 59 through 60, and the Law Enforcement's Officers' Special Separation Allowance schedules of the Changes in Total Pension Liability and Total Pension Liability as a Percentage of Covered Payroll on pages 61 through 62 and the Other Postemployment Benefits Schedule of Changes in the Total OPEB Liability and Related Ratios on page 63, be presented to supplement the basic financial statements. Such information, although not a required part of the basic financial statements, is required by the Governmental Accounting Standards

Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the basic financial statements of the Town of Pittsboro, North Carolina. The combining and individual nonmajor fund statements, budgetary schedules, and other schedules are presented for additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America by us and other auditors. In our opinion, based on our audit and the report of the other auditors, the combining and individual nonmajor fund financial statements are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated November 6, 2023, on our consideration of the Town of Pittsboro's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Town of Pittsboro's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Town of Wilson's Mills' internal control over financial reporting and compliance.

Sharpe Patel PLLC

Raleigh, North Carolina
November 6, 2023

MANAGEMENT'S DISCUSSION AND ANALYSIS

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS

As management of the Town of Pittsboro, we offer readers of the Town of Pittsboro's financial statements this narrative overview and analysis of the financial activities of the Town of Pittsboro for the fiscal year ended June 30, 2023. We encourage readers to read the information presented here in conjunction with additional information that we have furnished in the Town's financial statements, which follow this narrative.

Financial Highlights

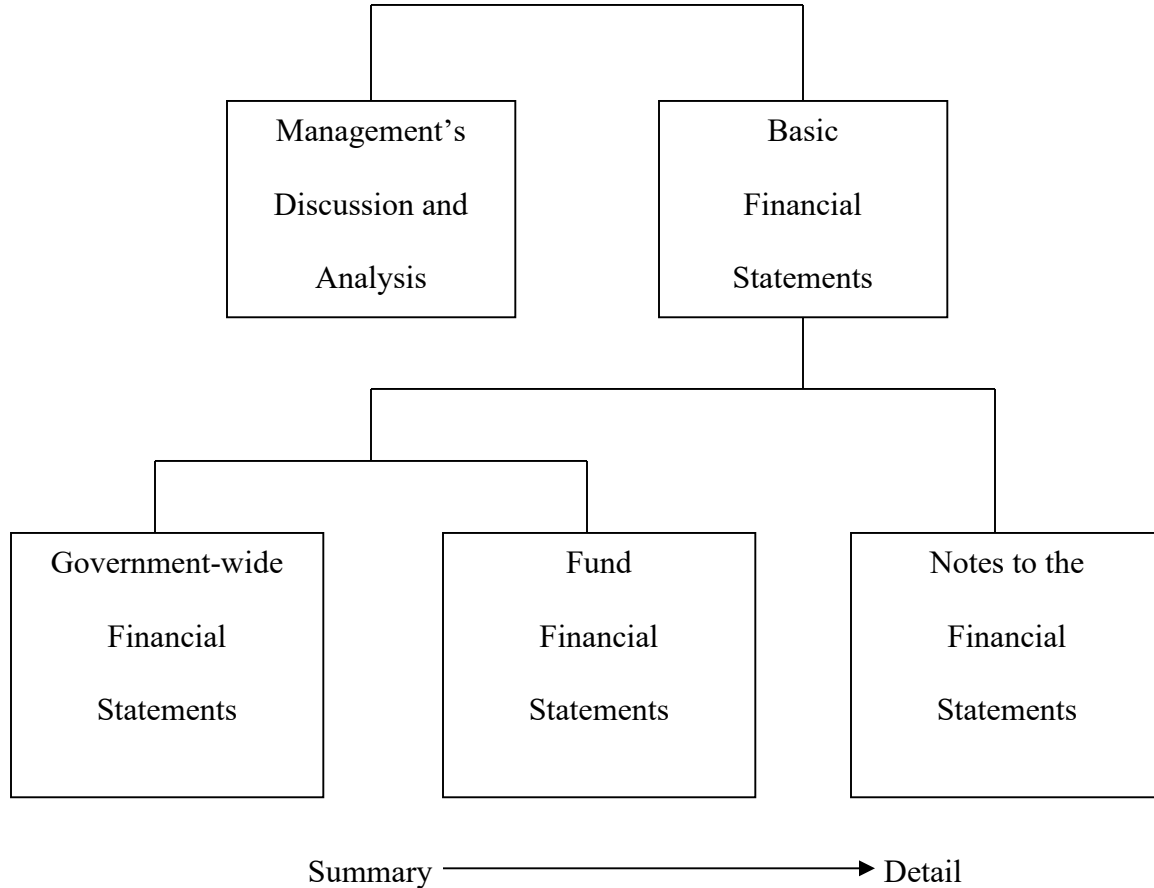
- The assets of the Town of Pittsboro exceeded its liabilities at the close of the fiscal year by \$33,737,242 (**net position**).
- The government's total net position *increased* by \$5,332,521 due to an *increase* in both *governmental* activities net position and *business-type* activities net position.
- As of the close of the current fiscal year, Pittsboro's governmental funds reported combined ending fund balances of \$9,221,387 an increase of \$1,729,900 in comparison with the prior year. Approximately 35.9% of this total amount, or \$3,307,377, is non-spendable, assigned or restricted.
- At the end of the current fiscal year, unassigned fund balance for the General Fund was \$5,914,010 or 64.1% of total General Fund – Fund Balance for the fiscal year.
- The Town of Pittsboro's total debt (net of compensated absences, net pension liability, lease liability and other postemployment benefits) decreased by \$248,246 during the current fiscal year. The key factors in this decrease were regular loan payments.

Overview of the Financial Statements

This discussion and analysis is intended to serve as an introduction to the Town of Pittsboro's basic financial statements. The Town's basic financial statements consist of three components; 1) government-wide financial statements, 2) fund financial statements, and 3) notes to the financial statements (see Figure 1). The basic financial statements present two different views of the Town of Pittsboro through the use of government-wide financial statements and fund financial statements. In addition to the basic financial statements, this report contains other supplemental information that will enhance the reader's understanding of the financial condition of the Town of Pittsboro.

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

**Required Components of Annual Financial Report
Figure 1**



Basic Financial Statements

The first two statements (Exhibits 1 and 2) in the basic financial statements are the **Government-wide Financial Statements**. They provide both short and long-term information about the Town of Pittsboro's financial status.

The next statements (Exhibits 3 through 8) are **Fund Financial Statements**. These statements focus on the activities of the individual parts of the Town of Pittsboro's government. These statements provide more detail than the government-wide statements. There are three parts to the Fund Financial Statements: 1) the governmental funds statements; 2) the budgetary comparison statements; and 3) the proprietary fund statements.

The next section of the basic financial statements is the **notes**. The notes to the financial statements explain in detail some of the data contained in those statements. After the notes, **supplemental information** is provided to show details about the Town of Pittsboro's individual funds. Budgetary information required by the General Statutes also can be found in this part of the statements.

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

Government-wide Financial Statements

The government-wide financial statements are designed to provide the reader with a broad overview of the Town of Pittsboro's finances, similar in format to a financial statement of a private-sector business. The government-wide statements provide short and long-term information about the Town's financial status as a whole.

The two government-wide statements report the Town of Pittsboro's net position and how it has changed. Net position is the difference between the Town's total assets and total liabilities. Measuring net assets is one way to gauge the Town of Pittsboro's financial condition.

The government-wide statements are divided into three categories: 1) governmental activities; 2) business-type activities; and 3) component units. The governmental activities include most of the Town of Pittsboro's basic services such as public safety, sanitation, street maintenance, recreation and parks, and general administration. Property taxes, sales taxes, charges for services, and state and federal grant funds finance most of these activities. The business-type activities are those that the Town charges customers to provide. These include the water and sewer services offered by the Town of Pittsboro. The final category is the component unit. Although legally separate from the Town of Pittsboro, the Pittsboro ABC Board is important to the Town because the Town exercises control over the Board by appointing its members and because the Board is required to distribute its profits, if any, to the Town of Pittsboro.

The government-wide financial statements are on Exhibits 1 and 2 of this report.

Fund Financial Statements

The fund financial statements (See figure 1) provide a more detailed look at the Town of Pittsboro's most significant activities. A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The Town of Pittsboro, like all other governmental entities in North Carolina, uses fund accounting to ensure and reflect compliance (or non-compliance) with finance-related legal requirements, such as the General Statutes or the Town of Pittsboro's budget ordinance. All of the funds of the Town of Pittsboro can be divided into two categories: governmental funds and proprietary funds.

Governmental Funds – Governmental funds are used to account for those functions reported as governmental activities in the government-wide financial statements. Most of the Town of Pittsboro's basic services are accounted for in governmental funds. These funds focus on how assets can readily be converted into cash flow in and out, and what monies are left at year-end that will be available for spending in the next year. Governmental funds are reported using an accounting method called *modified accrual accounting* that provides a short-term spending focus. As a result, the governmental fund financial statements give the reader a detailed short-term view that helps determine if there are more or less financial resources available to finance the Town's programs. The relationship between government activities (reported in the Statement of Net Position and the Statement of Activities) and governmental funds is described in a reconciliation that is a part of the fund financial statements.

The Town of Pittsboro adopts an annual budget for its General Fund, as required by the General Statutes. The budget is a legally adopted document that incorporates input from the citizens of the Town, management of the Town and the decisions of the Board about which services to provide and how to pay for them. It also authorizes the Town to obtain funds from identified sources to finance these current period

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

activities. The budgetary statements provided for the General Fund demonstrates how well the Town complied with the budget ordinance and whether or not the Town of Pittsboro succeeded in providing the services a planned when the budget was adopted. The budgetary comparison statement uses the budgetary basis of accounting and is presented using the same format, language, and classifications as the legal budget document. The statements shows four columns: 1) the original budget as adopted by the board; 2) the final budget as amended by the board; 3) the actual resources, charges to appropriations, and ending balances in the General Fund; and 4) the difference or variance between the final budget and the actual resources and charges. To account for the difference between the budgetary basis of accounting and the modified accrual basis, a reconciliation showing the differences in the reported activities is shown at the end of the budgetary statement.

Proprietary Funds – The Town of Pittsboro has one kind of proprietary fund. The *Enterprise Fund* is used to report the same functions presented as business-type activities in the government-wide financial statements. The Town of Pittsboro uses an Enterprise Fund to account for its water and sewer activities. The fund is the same as those functions shown in the business-type activities in the Statement of Net Position and the Statement of Activities.

Notes to the Financial Statements – The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements begin on page 26 of this report.

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

Government-Wide Financial Analysis

**The Town of Pittsboro's Net Position
Figure 2**

	Governmental Activities		Business-type Activities		Total	
	2023	2022	2023	2022	2023	2022
Current and other assets	\$ 9,966,945	\$ 8,478,400	\$ 8,601,037	\$ 7,185,581	\$ 18,567,982	\$ 15,663,981
Capital assets	5,737,198	5,633,528	14,526,256	12,917,998	20,263,454	18,551,526
Deferred outflows of resources	1,176,796	817,576	657,879	390,312	1,834,675	1,207,888
 Total assets and deferred out of resources	 16,880,939	 14,929,504	 23,785,172	 20,493,891	 40,666,111	 35,423,395
 Long-term liabilities outstanding	 3,122,299	 1,962,880	 2,250,010	 1,727,508	 5,372,309	 3,690,388
Other liabilities	378,515	555,102	398,801	914,187	777,316	1,469,289
Deferred inflows of resources	939,687	1,362,077	218,095	496,920	1,157,782	1,858,997
 Total liabilities and deferred o of resources	 4,440,501	 3,880,059	 2,866,906	 3,138,615	 7,307,407	 7,018,674
 Net position						
Net investment in capital assets	5,620,130	5,397,839	13,491,707	11,753,825	19,111,837	17,151,664
Restricted	779,231	798,762	3,870,762	3,870,762	4,649,993	4,669,524
Unrestricted	6,419,615	4,852,844	3,555,797	1,730,689	9,975,412	6,583,533
 Total net position	 <u>\$12,818,976</u>	 <u>\$11,049,445</u>	 <u>\$20,918,266</u>	 <u>\$17,355,276</u>	 <u>\$33,737,242</u>	 <u>\$28,404,721</u>

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

As noted earlier, net position may serve over time as one useful indicator of a government's financial condition. The assets and deferred outflows of resources of the Town of Pittsboro exceeded liabilities and deferred inflows by \$33,737,242 as of June 30, 2023. The Town's net position *increased* by \$5,332,521 for the fiscal year ended June 30, 2023. However, the largest portion, \$19,111,837 (56.65%), reflects the Town's investment in capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the Town of Pittsboro's investment in its capital assets is reported net of the outstanding related debt, the resources needed to repay that debt must be provided by other sources, since the capital assets cannot be used to liquidate these liabilities. An additional portion of the Town of Pittsboro's net position, \$4,649,993 (13.78%), represents resources that are subject to external restrictions on how they may be used. The remaining balance of \$9,975,412 (29.57%) is unrestricted. With the GASB Statement 73 reporting change, the Town has allocated its proportionate share of the Local Government Employees' Retirement System's net pension asset, deferred outflows of resources, deferred inflows of resources, and pension expense. Decisions regarding the allocations are made by the administrators of the pension plan, not by the Town of Pittsboro's management.

The Town of Pittsboro's financial operations positively influenced the total unrestricted governmental net position by:

- Continued diligence in the collection of property taxes by maintaining a tax collection percentage of 99.79% for the year ending June 30, 2023.
- Conservative spending habits within departments.

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

**Town of Pittsboro's Changes in Net Position
Figure 3**

	Governmental Activities		Business-type Activities		Total	
	2023	2022	2023	2022	2023	2022
Revenues						
Program revenues						
Charges for services	\$ 1,204,777	\$ 865,032	\$ 8,410,588	\$ 5,729,876	\$ 9,615,365	\$ 6,594,908
Operating grants and contributions	173,210	257,208	696,035	696,035	869,245	953,243
Capital grants and contributions	-	-	52,118	101,453	52,118	101,453
General revenues						
Property taxes	3,864,462	3,514,904	-	-	3,864,462	3,514,904
Other taxes	2,286,511	2,097,257	-	-	2,286,511	2,097,257
Grants and contributions not restricted to specific programs	136,888	74,255	-	-	136,888	74,255
Other	134,293	40,536	471,564	72,977	605,857	113,513
Total revenues	<u>7,800,141</u>	<u>6,849,192</u>	<u>9,630,305</u>	<u>6,600,341</u>	<u>17,430,446</u>	<u>13,449,533</u>
Expenses						
General government	1,849,805	1,405,738	-	-	1,849,805	1,405,738
Public safety	2,937,204	2,487,252	-	-	2,937,204	2,487,252
Transportation	921,491	910,659	-	-	921,491	910,659
Economic & physical development	1,728	236,304	-	-	1,728	236,304
Environmental protection	532,120	477,071	-	-	532,120	477,071
Culture and recreation	490,393	291,984	-	-	490,393	291,984
Main street/downtown	34,833	49,165	-	-	34,833	49,165
Interest on long-term debt	11,623	8,276	-	-	11,623	-
Water and sewer			5,318,728	3,986,303	5,318,728	3,986,303
Total expenses	<u>6,779,197</u>	<u>5,866,449</u>	<u>5,318,728</u>	<u>3,986,303</u>	<u>12,097,925</u>	<u>9,844,476</u>
Increase in net position before transfers	1,020,944	982,743	4,311,577	2,614,038	5,332,521	3,605,057
Transfers	748,587	-	(748,587)	-	-	-
Increase in net position	1,769,531	982,743	3,562,990	2,614,038	5,332,521	3,596,781
Net position, July 1 (consolidated)	11,049,445	10,066,702	17,355,276	14,741,238	28,404,721	24,807,940
Net position, beginning	<u>11,049,445</u>	<u>10,066,702</u>	<u>17,355,276</u>	<u>14,741,238</u>	<u>28,404,721</u>	<u>24,807,940</u>
Net position, June 30	<u>\$12,818,976</u>	<u>\$11,049,445</u>	<u>\$20,918,266</u>	<u>\$17,355,276</u>	<u>\$33,737,242</u>	<u>\$28,404,721</u>

Town of Pittsboro
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MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

Governmental Activities – Governmental activities increased the Town's net position by \$1,769,531.

Business-type Activities – Business-type activities increased the Town's net position by \$3,562,990.

Financial Analysis of the Town of Pittsboro's Funds

As noted earlier, the Town of Pittsboro uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

Governmental Funds – The focus of the Town of Pittsboro's governmental funds is to provide information on near-term inflows, outflows, and balances of usable resources. Such information is useful in assessing the Town's financing requirements. Specifically, unreserved fund balance can be a useful measure of a government's net resources available for spending at the end of the fiscal year.

The General Fund is the chief operating fund of the Town of Pittsboro. At the end of the current fiscal year, unassigned fund balance of the General Fund was \$5,914,010 while total fund balance reached \$6,745,612. As a measure of the general fund's liquidity, it may be useful to compare both unassigned fund balance and total fund balance to total fund expenditures. Unassigned fund balance represents 87.67% of total General Fund expenditures.

At June 30, 2023, the governmental funds of the Town of Pittsboro reported a combined fund balance of \$9,221,387, a \$1,729,900 increase over last year. Included in this change in fund balance is a small increase in the Non-Major Funds and a large increase in fund balance in the General Fund.

General Fund Budgetary Highlights – During the fiscal year, the Town of Pittsboro revised the budget on several occasions. Generally, budget amendments fall into one of three categories: 1) amendments made to adjust the estimates that are used to prepare the original budget ordinance once exact information is available; 2) amendments made to recognize new funding amounts from external sources, such as Federal and State grants; and 3) increases in appropriations that become necessary to maintain services.

Proprietary Funds – The Town of Pittsboro's proprietary funds provide the same type of information found in the government-wide statements but in more detail. Unrestricted net position of the Water and Sewer Fund at the end of the fiscal year amounted to \$3,555,797. The total net position for the fund increased by \$3,562,990. Other factors concerning the finances of the fund have already been addressed in the discussion of the Town of Pittsboro's business-type activities.

Capital Assets and Debt Administration

Capital Assets – The Town of Pittsboro's investment in capital assets for its governmental and business type activities as of June 30, 2023 totals \$20,263,454 (net of accumulated depreciation). These assets include buildings, streets, land, machinery and equipment, park facilities, and vehicles.

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

**The Town of Pittsboro's Capital Assets
Figure 4**

(net of depreciation)

	Governmental Activities		Business-type Activities		Total	
	2023	2022	2023	2022	2023	2022
Land	\$1,461,830	\$1,461,830	\$ 10,200	\$ 10,200	\$ 1,472,030	\$ 1,472,030
Buildings and systems	193,400	203,812	17,748	19,544	211,148	223,356
Improvements other than building	-	-	8,679,967	9,186,894	8,679,967	9,186,894
Furniture and equipment	261,410	299,286	189,732	187,493	451,142	486,779
Infrastructure	1,396,937	1,568,543	-	-	1,396,937	1,568,543
Vehicles and motorized equipment	438,584	316,868	-	11,077	438,584	327,945
Construction in progress	1,985,037	1,783,189	5,628,609	3,502,790	7,613,646	5,285,979
Total	\$5,737,198	\$5,633,527	\$14,526,256	\$12,917,998	\$20,263,454	\$18,551,526

Town of Pittsboro
North Carolina

MANAGEMENT’S DISCUSSION AND ANALYSIS (Continued)

Additional information on the Town of Pittsboro’s capital assets can be found in the Notes to the Financial Statements, Section II-A-3 (pages 37-38), of the Basic Financial Statements.

Long-term Debt – As of June 30, 2023, the Town of Pittsboro had total debt outstanding of \$5,648,308. This entire amount of debt is backed by the full faith and credit of the Town of Pittsboro.

The Town of Pittsboro’s Outstanding Debt
Figure 5

	Governmental Activities		Business-type Activities		Total	
	2023	2022	2023	2022	2023	2022
General obligation bonds	\$ -	\$ -	\$ 239,000	\$ 258,000	\$ 239,000	\$ 258,000
Notes Payable	117,068	235,689	795,549	906,174	912,617	1,141,863
Lease Liability	382,740	-	-	-	382,740	-
Compensated absences	139,057	132,824	53,257	51,357	192,314	184,181
OPEB	628,917	680,378	393,212	426,640	1,022,129	1,107,018
Pension related debt	2,006,233	1,032,761	893,275	214,889	2,899,508	1,247,650
	<u>\$3,274,015</u>	<u>\$ 2,081,652</u>	<u>\$2,374,293</u>	<u>\$ 1,857,060</u>	<u>\$ 5,648,308</u>	<u>\$3,938,712</u>

The Town of Pittsboro’s total debt increased by \$1,709,596 (43.4%) during the past fiscal year primarily as a result of increased liability related to pension related debt and OPEB.

North Carolina general statutes limit the amount of general obligation debt that a unit of government can issue to 8% of the total assessed value of taxable property located within that government’s boundaries. The legal debt margin for the Town of Pittsboro is \$70,192,990. The Town has no bonds authorized at June 30, 2023.

Additional information regarding the Town’s long-term debt can be found in the Notes to the Financial Statements, Section II-6 (pages 53-58), of this report.

Economic Factors and Next Year’s Budgets and Rates

The Town of Pittsboro continued to experience positive economic growth in Fiscal Year 2022-2023. The Town saw progressively strong, positive results with our sales tax and ad valorem revenue categories, indicating increasing levels of recovery after the COVID-19 pandemic. Our downtown has seen several new businesses opening, however, the sourcing of workers and supply chain inconsistencies continued to rear a negative impact on our entire economy, particularly our local businesses.

Construction and planning of new residential and commercial projects continued in earnest. Chatham Park, Mosaic and Northwood Landing expanded their construction with many new residences and the opening of commercial businesses in these developments. Utility capacity, or lack thereof, particularly on the wastewater side, continued to slow development growth. The Town intensified its efforts to increase water

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

and wastewater capacities by furthering discussions with City of Sanford for a merging of utility systems. Merging the Town of Pittsboro utility system would open up additional grant and loan funding opportunities as well as providing greater economies of scale to eventually lead to a reduction and stabilization of the utility rate structure for the Town of Pittsboro.

As we look ahead to FY 2023-24 and beyond, the merger with City of Sanford was approved on August 1, 2023 and is set to take effect no later than June 30, 2024. Additionally, inflation and supply chain concerns will continue to be prevalent in the year to come. Materials for daily operations and capital projects are more costly and continue to be more difficult to obtain in a timely manner. These budget and schedule busting aspects, compounded with an existing market shortage on contractors and subcontractors like surveyors, electricians, building inspectors and other necessary trades, will limit the Town's ability to deliver necessary projects as originally scheduled and within the budget originally planned. Aging infrastructure and the need for more staff will also require a reevaluation of our current fee schedules and structures. The Town's operational costs have increased and will likely continue to increase for the foreseeable future as most sectors are seeing cost increases in the double-digits of percentages with others seeing increases double or triple of that of their pre-pandemic pricing. The Town will continue to assess the market conditions and project conservatively so that we can continue to enhance our service levels to our citizens, residents and customers.

Budget Highlights for the Year Ending June 30, 2024

Governmental Activities –An ad valorem tax rate of \$0.44 per \$100.00 assessed value was recommended and adopted in the base budget for the official tax rate for the Town of Pittsboro for fiscal year 2023-2024. This rate is based on the most recent valuation and uses an anticipated collection rate of 97.5%.

Ad valorem taxes (\$4,222,100) account for 41.5% of the total General Fund revenue. Other major revenue streams for the Town include sales taxes, tipping fees and utility franchise taxes. These revenues are projected to bring in \$1,613,000 (15.9%), \$555,000 (5.46%) and \$224,100 (2.20%) respectively. These four revenues account for 65.06% of the total General Fund revenues.

The fiscal year 2023-2024 original General Fund budget of \$10,158,109 is a 8.9% increase over the fiscal year 2022-2023 original budget. This increase included \$1,741,159 in general fund balance appropriation.

Enterprise Activities

Operating revenues in the Enterprise Fund are generated primarily through the sale of water and sewer utilities. It is anticipated that \$6,041,400 will be generated in fiscal year 2023-2024. This represents 96% of the revenues in the Enterprise Fund. Other revenues include reuse water charges - \$78,966 (1.25%), credit card payment fees - \$16,800 (0.27%).

At \$6,291,666 the fiscal year 2023-2024 original Enterprise Fund Budget is a 9.16% increase from fiscal year 2022-2023 original budget.

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

Requests for Information

This report is designed to provide an overview of the Town of Pittsboro's finances for those with an interest in this area. Questions concerning any of the information found in this report or requests for additional information should be directed to the Town Manager or Finance Officer.

Town of Pittsboro
P.O. Box 759
Pittsboro, North Carolina 27312
919-542- 4621
www.pittsboronc.gov

BASIC FINANCIAL STATEMENTS

TOWN OF PITTSBORO, NORTH CAROLINA
Statement of Net Position
June 30, 2023

Exhibit 1

	Primary Government			Town of Pittsboro ABC Board
	Governmental Activities	Business-type Activities	Total	
ASSETS				
Current assets:				
Cash and cash equivalents	\$ 6,123,648	\$ 7,689,984	\$ 13,813,632	\$ 310,502
Taxes receivables (net)	48,136	-	48,136	-
Accounts receivable	21,448	771,625	793,073	-
Due from other governments	703,148	44,251	747,399	-
Investments	3,000,000	-	3,000,000	-
Inventories	-	-	-	329,547
Prepaid items	52,371	-	52,371	2,044
Restricted cash	18,194	95,177	113,371	461,543
Total current assets	<u>9,966,945</u>	<u>8,601,037</u>	<u>18,567,982</u>	<u>1,103,636</u>
Non-current assets:				
Right to use lease asset, net of amortization	378,538	-	378,538	-
Capital assets:				
Land, non-depreciable improvements and construction in progress	3,446,867	5,638,809	9,085,676	6,750
Other capital assets, net of depreciation	2,290,331	8,887,447	11,177,778	89,053
Total capital assets	<u>5,737,198</u>	<u>14,526,256</u>	<u>20,263,454</u>	<u>95,803</u>
Total non-current assets	<u>6,115,736</u>	<u>14,526,256</u>	<u>20,641,992</u>	<u>95,803</u>
Total assets	<u>16,082,681</u>	<u>23,127,293</u>	<u>39,209,974</u>	<u>1,199,439</u>
DEFERRED OUTFLOWS OF RESOURCES				
Pension deferrals	1,176,796	657,879	1,834,675	-
Total deferred outflows of resources	<u>1,176,796</u>	<u>657,879</u>	<u>1,834,675</u>	<u>-</u>
LIABILITIES				
Current liabilities:				
Accounts payable and accrued liabilities	226,799	174,207	401,006	213,416
Accrued interest payable	-	5,134	5,134	-
Customer deposits	-	95,177	95,177	-
Current portion of long-term liabilities	151,716	124,283	275,999	-
Total current liabilities	<u>378,515</u>	<u>398,801</u>	<u>777,316</u>	<u>213,416</u>
Long-term liabilities:				
Net pension liability	1,428,737	893,275	2,322,012	-
Total pension liability	577,496	-	577,496	-
Due in more than one year	1,116,066	1,356,735	2,472,801	-
Total liabilities	<u>3,500,814</u>	<u>2,648,811</u>	<u>6,149,625</u>	<u>213,416</u>
DEFERRED INFLOWS OF RESOURCES				
Prepaid taxes	20,623	-	20,623	-
Deferred rent	450,000	-	450,000	-
OPEB deferrals	322,646	201,725	524,371	-
Pension deferrals	146,418	16,370	162,788	-
Total deferred inflows of resources	<u>939,687</u>	<u>218,095</u>	<u>1,157,782</u>	<u>-</u>
NET POSITION				
Net investment in capital assets	5,620,130	13,491,707	19,111,837	95,803
Restricted for:				
Stabilization by State Statute	761,037	-	761,037	-
Other functions	18,194	3,870,762	3,888,956	526,577
Unrestricted	6,419,615	3,555,797	9,975,412	363,643
Total net position	<u>\$ 12,818,976</u>	<u>\$ 20,918,266</u>	<u>\$ 33,737,242</u>	<u>\$ 986,023</u>

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Statement of Activities
For the year ended June 30, 2023

Exhibit 2

Functions/Programs	Expenses	Program Revenues			Net (Expense) Revenue and Changes in Net Position			
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Primary Government			Town of Pittsboro ABC Board
					Governmental Activities	Business-type Activities	Total	
Primary government:								
Governmental activities:								
General government	\$ 1,849,805	\$ 661,761	\$ -	\$ -	\$ (1,188,044)	\$ -	\$ (1,188,044)	\$ -
Public safety	2,937,204	1,105	8,265	-	(2,927,834)	-	(2,927,834)	-
Transportation	921,491	-	142,165	-	(779,326)	-	(779,326)	-
Economic and physical development	1,728	-	-	-	(1,728)	-	(1,728)	-
Environmental protection	532,120	541,911	-	-	9,791	-	9,791	-
Cultural and recreation	490,393	-	22,780	-	(467,613)	-	(467,613)	-
Main street/downtown	34,833	-	-	-	(34,833)	-	(34,833)	-
Interest on long-term debt	11,623	-	-	-	(11,623)	-	(11,623)	-
Total governmental activities	<u>6,779,197</u>	<u>1,204,777</u>	<u>173,210</u>	<u>-</u>	<u>(5,401,210)</u>	<u>-</u>	<u>(5,401,210)</u>	<u>-</u>
Business-type activities:								
Water and sewer	<u>5,318,728</u>	<u>8,410,588</u>	<u>696,035</u>	<u>52,118</u>	<u>-</u>	<u>3,840,013</u>	<u>3,840,013</u>	<u>-</u>
Total primary government	<u>\$ 12,097,925</u>	<u>\$ 9,615,365</u>	<u>\$ 869,245</u>	<u>\$ 52,118</u>	<u>(5,401,210)</u>	<u>3,840,013</u>	<u>(1,561,197)</u>	<u>-</u>
Component unit								
ABC Board	<u>\$ 2,004,325</u>	<u>\$ 2,224,870</u>	<u>\$ -</u>	<u>\$ -</u>				<u>220,545</u>
General revenues:								
Taxes:								
Property taxes, levied for general purpose					3,864,462	-	3,864,462	-
Other taxes					2,286,511	-	2,286,511	-
Grants and contributions not restricted to specific programs					136,888	-	136,888	-
Unrestricted investment earnings					82,901	73,425	156,326	231
Miscellaneous					51,392	398,139	449,531	4
Transfers					748,587	(748,587)	-	(156,724)
Total general revenues and transfers					<u>7,170,741</u>	<u>(277,023)</u>	<u>6,893,718</u>	<u>(156,489)</u>
Change in net position					1,769,531	3,562,990	5,332,521	64,056
Net position, beginning					<u>11,049,445</u>	<u>17,355,276</u>	<u>28,404,721</u>	<u>921,967</u>
Net position, ending					<u>\$ 12,818,976</u>	<u>\$ 20,918,266</u>	<u>\$ 33,737,242</u>	<u>\$ 986,023</u>

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA

Exhibit 3

**Balance Sheet
Governmental Funds
June 30, 2023**

	<u>Major Fund</u>		<u>Total</u>
	<u>General</u>	<u>Total Non-Major Funds</u>	<u>Governmental Funds</u>
ASSETS			
Cash and cash equivalents	\$ 3,640,172	\$ 2,483,476	\$ 6,123,648
Restricted cash	18,194	-	18,194
Taxes receivable - net	48,135	-	48,135
Accounts receivable	21,448	-	21,448
Investments	3,000,000	-	3,000,000
Due from other governments	703,148	-	703,148
Prepaid items	52,371	-	52,371
Total assets	<u>\$ 7,483,468</u>	<u>\$ 2,483,476</u>	<u>\$ 9,966,944</u>
LIABILITIES			
Accounts payable and accrued liabilities	\$ 219,098	\$ 7,701	\$ 226,799
Total liabilities	<u>219,098</u>	<u>7,701</u>	<u>226,799</u>
DEFERRED INFLOWS OF RESOURCES			
Prepaid taxes, licenses and fees	20,623	-	20,623
Prepaid rent	450,000	-	450,000
Taxes receivable	48,135	-	48,135
Total deferred inflows of resources	<u>518,758</u>	<u>-</u>	<u>518,758</u>
FUND BALANCES			
Nonspendable:			
Prepaid items	52,371	-	52,371
Restricted:			
Stabilization by State Statute	761,037	-	761,037
Streets	18,194	-	18,194
Public Safety	0	-	-
General Government	-	-	-
Assigned:			
Subsequent year's expenditures	-	-	-
Capital Projects Funds	-	2,475,775	2,475,775
Unassigned	5,914,010	-	5,914,010
Total fund balances	<u>6,745,612</u>	<u>2,475,775</u>	<u>9,221,387</u>
Total liabilities, deferred inflows of resources and fund balances	<u>\$ 7,483,468</u>	<u>\$ 2,483,476</u>	<u>\$ 9,966,944</u>

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Reconciliation of the Balance Sheet - Governmental Funds to the
Statement of Net Position
June 30, 2023

Exhibit 3

Amounts reported for governmental activities in the Statement of Net Position (exhibit 1) are different because:

Total Fund Balance, Governmental Funds		\$ 9,221,387
Capital assets used in governmental activities are not financial resources and therefore are not reported in the funds.		
Gross capital assets at historical cost	10,062,454	
Accumulated depreciation	<u>(4,325,256)</u>	5,737,198
Right to use leased assets used in governmental activities are not financial resources and therefore not reported in the funds.		
Right to use leased assets which were capitalized.	412,951	
Amortization expense for intangible assets	<u>(34,413)</u>	378,538
Contributions to the pension plan in the current fiscal year are deferred outflows of resources on the Statement of Net Position		1,176,796
Earned revenues considered deferred inflows of resources in fund statements.		48,135
Deferred inflows of resources related to OPEB are not reported in the funds		(322,646)
Long-term liabilities used in governmental activities are not financial uses and therefore are not reported in the funds		
Long-term debt included as net position below (includes the addition of long-term debt and principal payments during the year).		(638,864)
Pension related deferrals		(146,418)
Net pension liability		(1,428,737)
Total pension liability		(577,496)
OPEB liability		<u>(628,917)</u>
Net position of governmental activities		<u><u>\$ 12,818,976</u></u>

The accompanying notes to the financial statements are an integral part of these statements

TOWN OF PITTSBORO, NORTH CAROLINA
Statement of Revenues, Expenditures, and Changes in Fund Balances
Governmental Funds
For the Year Ended June 30, 2023

Exhibit 4

	<u>Major Fund</u>		<u>Total</u>
	<u>General Fund</u>	<u>Total Non-</u>	<u>Governmental</u>
		<u>Major Funds</u>	<u>Funds</u>
REVENUES			
Ad valorem taxes	\$ 3,895,751	\$ -	\$ 3,895,751
Other taxes and licenses	2,286,512	-	2,286,512
Unrestricted intergovernmental	136,888	-	136,888
Restricted intergovernmental	173,210	-	173,210
Permits and fees	155,258	-	155,258
Sales and services	1,049,519	-	1,049,519
Investment earnings	82,831	69	82,900
Miscellaneous	51,397	-	51,397
Total revenues	<u>7,831,366</u>	<u>69</u>	<u>7,831,435</u>
EXPENDITURES			
Current:			
General government	1,682,092	-	1,682,092
Public safety	3,035,469	-	3,035,469
Transportation	696,053	-	696,053
Economic and physical development	1,405	-	1,405
Environmental protection	532,120	-	532,120
Cultural and recreational	505,847	201,848	707,695
Main street/downtown	34,833	-	34,833
Debt service:			
Principal	148,832	-	148,832
Interest	11,623	-	11,623
Total expenditures	<u>6,648,274</u>	<u>201,848</u>	<u>6,850,122</u>
Excess (deficiency) of revenues over expenditures	<u>1,183,092</u>	<u>(201,779)</u>	<u>981,313</u>
OTHER FINANCING SOURCES (USES)			
Transfer from other funds	696,035	1,487,905	2,183,940
Transfer to other funds	(1,435,353)	-	(1,435,353)
Total other financing sources (uses)	<u>(739,318)</u>	<u>1,487,905</u>	<u>748,587</u>
Net change in fund balance	443,774	1,286,126	1,729,900
Fund balances, beginning	<u>6,301,838</u>	<u>1,189,649</u>	<u>7,491,487</u>
Fund balances, ending	<u>\$ 6,745,612</u>	<u>\$ 2,475,775</u>	<u>\$ 9,221,387</u>

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balances
of Governmental Funds to the Statement of Activities
For the Year Ended June 30, 2023

Exhibit 4

Amounts reported for governmental activities in the statement of activities are different because:

Net changes in fund balances- total governmental funds	\$ 1,729,900
--	--------------

Governmental funds report capital outlays as expenditures. However, in the Statement of Activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense. This is the amount by which capital outlays exceeded depreciation in the current period.

Capital outlay expenditures which were capitalized	467,369	
Depreciation expense for governmental assets	<u>(363,699)</u>	103,670

Contributions to the pension plan in the current fiscal year are not included on the Statement of Activities	274,957
--	---------

OPEB benefit payments and administrative costs made in the current

The issuance of long-term debt provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes financial resources of governmental funds. Neither transaction has any effect on net position. This amount is the net effect of these differences in the treatment of long-term debt and related items.

New long-term debt issues	-	
Principal payments on long-term debt	<u>118,621</u>	118,621

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds.

Change in unavailable revenue for tax revenues	(31,289)
--	----------

Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in governmental funds.

Compensated absences	(6,233)	
Pension expense	(407,233)	
OPEB plan expense	<u>(12,862)</u>	<u>(426,328)</u>

Total changes in net position of governmental activities	<u>\$ 1,769,531</u>
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The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA

Exhibit 5

General Fund

Statement of Revenues, Expenditures, and Changes in Fund Balance - Budget to Actual
For the Year Ended June 30, 2023

	General Fund			Variance with Final Budget - Positive (Negative)
	Budget		Actual Amounts	
	Original	Final		
Revenues:				
Ad valorem taxes	\$ 3,770,088	\$ 3,770,088	\$ 3,895,751	\$ 125,663
Other taxes and licenses	2,000,100	2,000,100	2,286,512	286,412
Unrestricted intergovernmental	58,000	58,000	136,888	78,888
Restricted intergovernmental	326,835	336,835	173,210	(163,625)
Permits and fees	412,600	206,300	155,258	(51,042)
Sales and services	987,140	1,219,400	1,049,519	(169,881)
Investment earnings	2,500	2,500	82,831	80,331
Miscellaneous	90,000	90,000	51,397	(38,603)
Total revenues	7,647,263	7,683,223	7,831,366	148,143
Expenditures:				
Current:				
General government	2,378,584	2,490,304	1,682,092	808,212
Public safety	3,165,621	3,213,908	3,035,469	178,439
Transportation	838,145	842,745	696,053	146,692
Economic and physical development	-	-	1,405	(1,405)
Environmental protection	509,040	535,000	532,120	2,880
Cultural and recreational	740,724	786,724	505,847	280,877
Main street/downtown	85,000	85,000	34,833	50,167
Debt Service:				
Principal	118,771	118,771	148,832	(30,061)
Interest	5,462	5,462	11,623	(6,161)
Total expenditures	7,841,347	8,077,914	6,648,274	1,429,640
Revenues over (under) expenditures	(194,084)	(394,691)	1,183,092	1,577,783
Other financing sources (uses):				
Transfers from other funds	1,679,437	1,830,044	696,035	(1,134,009)
Transfers to other funds	(1,485,353)	(1,435,353)	(1,435,353)	-
Total other financing sources (uses)	194,084	394,691	(739,318)	(1,134,009)
Net change in fund balance	\$ -	\$ -	443,774	\$ 443,774
Fund balance, beginning			6,301,838	
Fund balance, ending			\$ 6,745,612	

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA

Exhibit 6

Statement of Net Position

Proprietary Fund

June 30, 2023

	Major Enterprise Fund
	Water and Sewer Fund
ASSETS	
Current assets:	
Cash and cash equivalents	\$ 7,689,984
Accounts receivable (net) - billed	703,710
Accounts receivable (net) - unbilled	67,915
Due from other governments	44,251
Restricted cash and cash equivalents	95,177
Total current assets	<u>8,601,037</u>
Noncurrent assets:	
Capital assets:	
Land and construction in progress	5,638,809
Other capital assets, net of depreciation	8,887,447
Total capital assets	<u>14,526,256</u>
Total noncurrent assets	<u>14,526,256</u>
Total assets	<u><u>\$ 23,127,293</u></u>
DEFERRED OUTFLOWS OF RESOURCES	
Contributions to pension plan in current fiscal year	<u>657,879</u>
LIABILITIES	
Current liabilities:	
Accounts payable and accrued liabilities	\$ 174,207
Accrued bond interest	5,134
Customer deposits	95,177
Current portion of long-term debt	124,283
Total current liabilities	<u>398,801</u>
Noncurrent liabilities:	
Accrued vacation	53,257
Total OPEB liability	393,212
Net pension liability	893,275
Non-current portion of long-term debt	910,266
Total noncurrent liabilities	<u>2,250,010</u>
Total liabilities	<u><u>2,648,811</u></u>
DEFERRED INFLOWS OF RESOURCES	
OPEB deferrals	201,725
Pension deferrals	16,370
Total deferred inflows of resources	<u>218,095</u>
NET POSITION	
Net investment in capital assets	13,491,707
Restricted for capital projects	3,870,762
Unrestricted	3,555,797
Total net position	<u><u>\$ 20,918,266</u></u>

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Statement of Revenues, Expenditures, and Changes in Fund Net Position
Proprietary Fund
For the Year Ended June 30, 2023

Exhibit 7

	<u>Major Enterprise Fund</u> <u>Water and Sewer Fund</u>
OPERATING REVENUES	
Water sales	\$ 3,815,542
Sewer charges	2,307,971
Reuse water charges	77,040
Reconnection fees and penalties	156,880
Restricted intergovernmental	696,035
Miscellaneous	398,139
Total operating revenues	<u>7,451,607</u>
OPERATING EXPENSES	
Administrative	2,066,104
Water operations	1,305,403
Sewer treatment	785,998
Public utilities	574,437
Depreciation	572,078
Total operating expenses	<u>5,304,020</u>
Operating income (loss)	<u>2,147,587</u>
NONOPERATING REVENUES (EXPENSES)	
Investment earnings	73,425
Interest and other charges	(14,708)
Contributions	52,118
System development fees	933,261
Water and sewer access charges	1,119,894
Total nonoperating revenues (expenses)	<u>2,163,990</u>
Income (loss) before contributions and transfers	4,311,577
Transfer from other funds	2,112,033
Transfer to other funds	<u>(2,860,620)</u>
Change in net position	3,562,990
Total net position, beginning	<u>17,355,276</u>
Total net position, ending	<u><u>\$ 20,918,266</u></u>

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Statement of Cash Flows
Proprietary Fund
For the Year Ended June 30, 2023

Exhibit 8

	<u>Major Enterprise Fund</u>
	<u>Water and Sewer Fund</u>
CASH FLOWS FROM OPERATING ACTIVITIES	
Cash received from customers	\$ 7,128,613
Cash paid for goods and services	(3,635,593)
Cash paid to or on behalf of employees for services	(1,497,430)
Customer deposits received	(8,570)
Other operating revenues	398,139
Net cash provided (used) by operating activities	<u>2,385,159</u>
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES	
Contributions	<u>52,118</u>
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES	
Capital contribution - access fees	1,119,894
Capital contribution - system development fees	933,261
Principal paid on bonds/loans	(129,625)
Interest paid on bonds/loans	(14,708)
Acquisition and construction of capital assets	(2,180,334)
Net cash provided (used) by capital and related financing activities	<u>(1,020,099)</u>
CASH FLOWS FROM INVESTING ACTIVITIES	
Interest on investments	<u>73,425</u>
Net increase (decrease) in cash and cash equivalents	1,490,603
Balances, beginning	<u>6,294,558</u>
Balances, ending	<u><u>\$ 7,785,161</u></u>
Reconciliation of operating income (loss) to net cash provided by operating activities	
Operating income (loss)	<u>\$ 2,147,587</u>
Adjustments to reconcile operating income (loss) to net cash provided by operating activities:	
Depreciation	572,078
Changes in assets and liabilities:	
Decrease (increase) in accounts receivable	(23,909)
Increase (decrease) in accounts payable and accrued liabilities	(501,547)
Increase (decrease) in net pension liability	678,386
Increase (decrease) in customer deposits	(8,570)
Increase (decrease) in accrued vacation	1,900
(Increase) decrease in deferred outflows of resources for pensions	(267,567)
Increase (decrease) in deferred inflows of resources for pensions	(310,834)
Increase (decrease) in deferred inflows of resources - OPEB	32,009
Increase (decrease) in OPEB liability	(33,428)
Total adjustments	<u>237,572</u>
Net cash provided by operating activities	<u><u>\$ 2,385,159</u></u>

The accompanying notes to the financial statements are an integral part of these statements.

NOTES TO THE FINANCIAL STATEMENTS

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

I. Summary of Significant Accounting Policies

The accounting policies of the Town of Pittsboro (“the Town”) and its discretely presented component unit, the Town of Pittsboro ABC Board, conform to generally accepted accounting principles as applicable to governments. The following is a summary of the more significant accounting policies:

A. Reporting Entity

The Town of Pittsboro is a municipal corporation that is governed by an elected mayor and a five-member council. As required by generally accepted accounting principles, these financial statements present the Town and its component unit, a legally separate entity for which the Town is financially accountable. The discretely presented component unit presented below is reported in a separate column in the Town’s financial statements in order to emphasize that it is legally separate from the Town.

Town of Pittsboro ABC Board

The members of the ABC Board’s governing board are appointed by the Town. In addition, the ABC Board is required by State Statute to distribute its surpluses, if any, to the General Fund of the Town. The ABC Board, which has a June 30 year-end, is presented as if it were a proprietary fund (discrete presentation). Complete financial statements for the ABC Board may be obtained from the entity’s administrative offices at the Town of Pittsboro ABC Board, P.O. Box 642, Pittsboro, North Carolina 27312.

B. Basis of Presentation

Government-wide Financial Statements: The statement of net position and the statement of activities display information about the primary government and its component unit. These statements include the financial activities of the overall government. Eliminations have been made to minimize the double counting of internal activities. These statements distinguish between the *governmental* and *business-type activities* of the Town. Governmental activities generally are financed through taxes, intergovernmental revenues, and other non-exchange transactions. Business-type activities are financed in whole or in part by fees charged to external parties.

The statement of activities presents a comparison between direct expenses and program revenues for the different business-type activities of the Town and for each function of the Town’s governmental activities. Direct expenses are those that are specifically associated with a program or function and, therefore, are clearly identifiable to a particular function. Indirect expense allocations that have been made in the funds have been reversed for the statement of activities. Program revenues include (a) fees and charges paid by the recipients of goods or services offered by the programs and (b) grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues that are not classified as program revenues, including all taxes, are presented as general revenues.

Fund Financial Statements: The fund financial statements provide information about the Town’s funds. Separate statements for each fund category – *governmental and proprietary* – are presented. The Town has no fiduciary funds to report. The emphasis of fund financial statements is on major governmental and

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

I. Summary of Significant Accounting Policies (Continued)

B. Basis of Presentation (Continued)

enterprise funds, each displayed in a separate column. All remaining governmental and enterprise funds are aggregated and reported as non-major funds.

Proprietary fund operating revenues, such as charges for services, result from exchange transactions associated with the principal activity of the fund. Exchange transactions are those in which each party receives and gives up essentially equal values. Non-operating revenues, such as subsidies result from non-exchange transactions. Other non-operating revenues are ancillary activities such as investment earnings.

The Town reports the following major governmental fund:

General Fund. The General Fund is the general operating fund of the Town. The General Fund accounts for all financial resources except those that are required to be accounted for in another fund. The primary revenue sources are ad valorem taxes and various other taxes and licenses. The primary expenditures are for public safety, streets, sanitation, parks and recreation and general government services.

The Town reports the following non-major governmental fund:

Capital Projects Funds. The Capital Projects Funds were established to account for funds that are restricted for use for a particular purpose, mainly the acquisition of equipment, construction of special projects and renovations of the Town's capital assets. The projects include the Capital Projects Fund, the Town Hall Project, the PESR Culvert Project, the Traffic Circle Project, the Parks and Recreation Project, and the Sidewalks and Greenways Project.

The Town reports the following major enterprise fund:

Water and Sewer Fund. This fund is used to account for the Town's water and sewer operations.

C. Measurement Focus and Basis of Accounting

In accordance with North Carolina General Statutes, all funds of the Town are maintained during the year using the modified accrual basis of accounting.

Government-wide and Proprietary Fund Financial Statements. The government-wide and proprietary fund financial statements are reported using the economic resources measurement focus. The government-wide and proprietary fund financial statements are reported using the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded at the time liabilities are incurred, regardless of when the related cash flows take place. Non-exchange transactions, in which the Town gives (or receives) value without directly receiving (or giving) equal value in exchange, include property taxes, grants, and donations. On an accrual basis, revenue from property taxes is recognized in the fiscal year for which the taxes are levied. Revenue from grants and donations is recognized in the fiscal year in which all eligibility requirements have been satisfied.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

I. Summary of Significant Accounting Policies (Continued)

C. Measurement Focus and Basis of Accounting (Continued)

Amounts reported as program revenues include 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions, including special assessments. Internally dedicated resources are reported as general revenues rather than as program revenues. Likewise, general revenues include all taxes.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the Town's enterprise fund are charges to customers for sales and services. The Town also recognizes as operating revenue the portion of tap fees intended to recover the cost of connecting new customers to the water and sewer system. Operating expenses for the enterprise fund include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

Governmental Fund Financial Statements. Governmental funds are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Under this method, revenues are recognized when measurable and available. Expenditures are recorded when the related fund liability is incurred, except for principal and interest on general long-term debt, claims and judgments, and compensated absences, which are recognized as expenditures to the extent they have matured. General capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

The Town considers all revenues available if they are collected within 90 days after year-end, except for property taxes. Ad valorem taxes receivable are not accrued as revenue because the amount is not susceptible to accrual. At June 30, taxes receivable for property other than motor vehicles are materially past due and are not considered to be an available resource to finance the operations of the current year. Also, as of September 1, 2013, State law altered the procedures for the assessment and collection of property taxes on registered motor vehicles in North Carolina. Effective with this change in the law, the State of North Carolina is responsible for billing and collecting the property taxes on registered motor vehicles on behalf of all municipalities and special tax districts. Property taxes are due when vehicles are registered. The billed taxes are applicable for the fiscal year in which they are received. Uncollected taxes that were billed during this period prior to September 1, 2013 and for limited registration plates are shown as a receivable in these financial statements and are offset by deferred inflows of resources.

Sales taxes and certain intergovernmental revenues, such as the utilities franchise tax, collected and held by the State at year-end on behalf of the Town are recognized as revenue. Sales taxes are considered a shared revenue for the Town of Pittsboro because the tax is levied by Chatham County and then remitted to and distributed by the State. Most intergovernmental revenues and sales and services are not susceptible to accrual because generally they are not measurable until received in cash. Under the terms of grant agreements, the Town funds certain programs by a combination of specific cost-reimbursement grants,

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

I. Summary of Significant Accounting Policies (Continued)

categorical block grants, and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the Town's policy to first apply cost-reimbursement grant resources to such programs, followed by categorical block grants, and then general revenues.

D. Budgetary Data

The Town's budgets are adopted as required by the North Carolina General Statutes. An annual budget is adopted for the General Fund and the Water and Sewer Fund. All annual appropriations lapse at the fiscal year-end. Project ordinances are adopted for the Capital Projects Fund. All budgets are prepared using the modified accrual basis of accounting. Appropriations are made at the departmental level and are amended as necessary by the governing board. The manager may make interdepartmental transfers (limited to 10% of the department's budget) without Board approval. Expenditures may not legally exceed appropriations at the departmental level for all annually budgeted funds and at the object level for the multi-year funds. All amendments greater than 10% of a department's budget must be approved by the governing board and the Board must adopt an interim budget that covers that time until the annual ordinance can be adopted.

E. Assets, Liabilities, Deferred Outflows/Inflows of Resources, and Fund Equity

1. Deposits and Investments

All deposits of the Town and the ABC Board are made in board-designated official depositories and are secured as required by State law [G.S. 159-31]. The Town may designate, as an official depository, any bank or savings association whose principal office is located in North Carolina. Also, the Town and ABC Board may establish time deposit accounts such as NOW and SuperNOW accounts, money market accounts, and certificates of deposit.

State law [G.S. 159-30(c)] authorizes the City and the ABC Board to invest in obligations of the United States or obligations fully guaranteed both as to principal and interest by the United States, obligations of the State of North Carolina, bonds and notes of any North Carolina local government or public authority, obligations of certain non-guaranteed federal agencies, certain high quality issues of commercial paper and bankers' acceptances, and the North Carolina Capital Management Trust (NCCMT). The City's and the ABC Board's investments are generally reported at fair value. The NCCMT Government Portfolio, a SEC-registered (2a-7) money market mutual fund, is measured at fair value. Because the NCCMT Government has a weighted average maturity of less than 90 days, it is presented as an investment with a maturity of less than 6 months.

2. Cash and Cash Equivalents

The Town pools money from several funds to facilitate disbursement and investment and to maximize investment income. Therefore, all cash and investments are essentially demand deposits and are considered cash and cash equivalents. The Town and ABC Board consider all highly liquid investments (including restricted assets) with a maturity of three months or less when purchased to be cash and cash equivalents.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

I. Summary of Significant Accounting Policies (Continued)

3. Restricted Assets

The unexpended loan proceeds from a loan agreement entered into by the Town are classified as restricted assets because their use is completely restricted to the purposes of purchasing police vehicles. Customer deposits held by the Town before any services are supplied are restricted to the service for which the deposit was collected. Any unexpended balances of grant or loan funds for the Capital Projects Funds are classified as restricted assets in the appropriate fund because their use is completely restricted to the purpose for which the grants and/or loans were intended. Powell Bill funds are also classified as restricted cash because they can be expended only for the purposes of maintain, repairing, constructing, reconstructing or widening of local streets per G.S. 136-41.1 through 136-41.4.

Town of Pittsboro Restricted Cash

Governmental Activities

General Fund

Streets	\$ 18,194
Public Safety	<u>-</u>
Total Governmental Activities	<u>18,194</u>

Business-type Activities

Water and Sewer Fund

Unexpended loan proceeds	-
Customer deposits	<u>95,177</u>
Total Business-type Activities	<u>95,177</u>
Total Restricted Cash	<u>\$ 113,371</u>

4. Ad Valorem Taxes Receivable

In accordance with State law [G.S. 105-347 and G.S. 159-13(a)], the Town levies ad valorem taxes on property other than motor vehicles on July 1st, the beginning of the fiscal year. The taxes are due on September 1st (lien date); however, interest does not accrue until the following January 6th. These taxes are based on the assessed values as of January 1, 2022. As allowed by State law, the Town has established a schedule of discounts that apply to taxes that are paid prior to the due date. In the Town's General Fund, ad valorem tax revenues are reported net of such discounts.

5. Allowances for Doubtful Accounts

All receivables that historically experience uncollectible accounts are shown net of an allowance for doubtful accounts. This amount is estimated by analyzing the percentage of receivables that were written off in prior years.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

I. Summary of Significant Accounting Policies (Continued)

6. Inventory and Prepaid Items

The inventories of the ABC Board are valued at cost (first-in, first-out), which approximates market. The inventories of the ABC Board consist of materials and supplies held for subsequent use. The cost of these inventories is expensed when consumed rather than when purchased.

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both government-wide and fund financial statements and expensed as the items are used.

7. Investments

Investments consist of marketable debt and equity securities and mutual funds. The Town accounts for investments in accordance with GAAP which requires that investments with readily determinable fair values be measured at fair value in the statement of financial position. Interest, dividends, realized and unrealized gain and loss on investments are recorded in the statements of activities. Realized gains and losses are determined on a specific identification basis.

Investment securities are exposed to various risks such as interest rate, market and credit risks. Due to the level of risk associated with certain investment securities, it is at least reasonably possible that changes in the values of investment securities will occur in the near term and that such changes could materially affect the amounts reported in the statement of financial position.

8. Capital Assets

Capital assets are defined by the government as assets with an initial, individual cost of more than \$5,000. Purchased or constructed capital assets are reported at cost or estimated historical cost. Donated capital assets received prior to June 15, 2015 are recorded at their estimated fair value at the date of donation. Donated capital assets received after June 15, 2015 are recorded at acquisition value. All other purchased or constructed capital assets are reported at cost or estimated historical cost. General infrastructure assets acquired prior to July 1, 2003, consist of the road network and water and sewer system assets that were acquired or that received substantial improvements subsequent to July 1, 1980, and are reported at estimated historical cost using deflated replacement cost. The cost of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized.

Capital assets are depreciated using the straight-line method over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings and improvements	15 - 50 years
Furniture and equipment	5 - 40 years
Infrastructure	15 - 25 years
Vehicles	5 - 8 years

Property, plant, and equipment of the ABC Board are depreciated over their useful lives on a straight-line basis as follows:

Asset Class	Estimated Useful Lives
Buildings and leasehold improvements	5 - 30 years
Store and administrative equipment	7 years

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

I. Summary of Significant Accounting Policies (Continued)

9. Right to Use Asset

The Town has recorded a right to use lease asset as a result of implementing GASB 87. The right to use assets are initially measured at an amount equal to the initial measurement of the related lease liability plus any lease payments made prior to the lease term, less lease incentives, and plus ancillary charges necessary to place the lease into service. The right to use assets are amortized on a straight-line basis over the life of the related lease.

10. Deferred Outflows/Inflows of Resources

In addition to assets, the statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, *Deferred Outflows of Resources*, represents a consumption of net position that applies to a future period and so will not be recognized as an expenditure until then. The Town has one item that meets this criterion, pension deferrals in the 2021 fiscal year. In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, *Deferred Inflows of Resources*, represents an acquisition of net position that applies to a future period and so will not be recognized as revenue until then. The Town has several items that met this criterion for this category – prepaid rent, prepaid property taxes, property taxes receivable and pension deferrals.

11. Long-Term Obligations

In the government-wide financial statements, and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the straight-line method that approximates the effective interest method. Bonds payable are reported net of the applicable bond premiums or discount. Bond issuance costs, except for prepaid insurance costs, are expensed in the reporting period in which they are incurred. Prepaid insurance costs are expensed over the life of the debt.

In fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

12. Compensated Absences

The vacation policy of the Town provides for the accumulation of up to thirty days earned vacation leave with such leave being fully vested when earned. For the Town's government-wide and proprietary funds, an expense and a liability for compensated absences and the salary-related payments are recorded as the leave is earned. The Town has assumed a first-in, first-out method of using accumulated compensated time. The portion of that time that is estimated to be used in the next fiscal year has been designated as a current liability in the government-wide financial statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

I. Summary of Significant Accounting Policies (Continued)

The Town's sick leave policy provides for an unlimited accumulation of earned sick leave. Sick leave does not vest, but any unused sick leave accumulated at the time of retirement may be used in the determination of length of service for retirement benefit purposes. Since the Town does not have any obligation for the accumulated sick leave until it is actually taken, no accrual for sick leave has been made.

13. Net Position/Fund Balances

Net Position

Net position in government-wide and proprietary fund financial statements are classified as net investment in capital assets; restricted; and unrestricted. Restricted net position represents constraints on resources that are either externally imposed by creditors, grantors, contributors, or laws or regulations of other governments or imposed by law through State Statute.

Fund Balances

In the governmental fund financial statements, fund balance is composed of five classifications designed to disclose the hierarchy of constraints placed on how fund balance can be spent.

The governmental fund types classify fund balances as follows:

Nonspendable Fund Balance – This classification includes amounts that cannot be spent because they are either (a) not in spendable form or (b) legally or contractually required to be maintained intact.

Prepaid Items – Portion of fund balance that is not an available resource because it represents the year-end balance of prepaid operational expenses on goods and services which is not a spendable resource.

Restricted Fund Balance – This classification includes amounts that are restricted to specific purposes externally imposed by creditors or imposed by law.

Restricted for Stabilization by State statute - North Carolina G.S. 159-8 prohibits units of government from budgeting or spending a portion of their fund balance. This is one of several statutes enacted by the North Carolina State Legislature in the 1930's that were designed to improve and maintain the fiscal health of local government units. Restricted by State statute (RSS), is calculated at the end of each fiscal year for all annually budgeted funds. The calculation in G.S. 159-8(a) provides a formula for determining what portion of fund balance is available for appropriation. The amount of fund balance not available for appropriation is what is known as "restricted by State statute". *Appropriated fund balance in any fund shall not exceed the sum of cash and investments minus the sum of liabilities, encumbrances, and deferred revenues arising from cash receipts, as those figures stand at the close of the fiscal year next preceding the budget.* Per GASB guidance, RSS is considered a resource upon which a restriction is "imposed by law through constitutional provisions or enabling legislation." RSS is reduced by inventories and prepaids as they are classified as nonspendable. Outstanding Encumbrances are included within RSS. RSS is included as a component of Restricted Net position and Restricted fund balance on the face of the balance sheet.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

I. Summary of Significant Accounting Policies (Continued)

Restricted for Streets - Powell Bill portion of fund balance that is restricted by revenue source for street construction and maintenance expenditures. This amount represents the balance of the total unexpended Powell Bill funds.

Restricted for Public Safety – portion of fund balance that represents funds from the equitable sharing program and loan proceeds restricted for public safety.

Restricted for General Government – portion of fund balance that represents loan proceeds restricted for general government use.

Committed Fund Balance –portion of fund balance that can only be used for specific purposes imposed by majority vote by quorum of the Town of Pittsboro’s governing body (highest level of decision-making authority). Any changes or removal of specific purpose requires majority action by the governing body. The governing body can, by adoption of an ordinance prior to the end of the fiscal year, commit fund balance. Once adopted, the limitation imposed by the ordinance remains in place until a similar action is taken (the adoption of another ordinance) to remove or revise the limitation.

Assigned Fund Balance – portion of fund balance that the Town of Pittsboro intends to use for specific purposes.

Assigned for Capital Projects Funds – portion of fund balance assigned by the Board of Commissioners for capital expenditures.

Subsequent Year’s Expenditures – portion of fund balance that is appropriated in the next year’s budget that is not already classified in restricted or committed. The governing body approves the appropriation; however, the budget ordinance authorizes the manager to modify the appropriation within a fund up to 10% of any department’s appropriation.

Unassigned Fund Balance – the portion of fund balance that has not been restricted, committed, or assigned to specific purposes or other funds.

The Town of Pittsboro does not have a formal revenue spending policy for programs with multiple revenue sources.

The Town of Pittsboro has not adopted a minimum fund balance policy for the General Fund.

13. Deferred Benefit Cost-Sharing Plans

For purposes of measuring the net pension asset, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Local Governmental Employees’ Retirement System (LGERS) and additions to/deductions from LGERS’ fiduciary net position have been determined on the same basis as they are reported by LGERS. For this purpose, plan member contributions are recognized in the period in which the contributions are due. The Town of Pittsboro’s employer contributions are recognized when due and the Town of Pittsboro has a legal requirement to provide the contributions. Benefits and refunds are recognized when due and payable in accordance with the terms of LGERS. Investments are reported at fair value.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds

A. Assets

1. Deposits

All the deposits of the Town and the ABC Board are either insured or collateralized by using one of two methods. Under the Dedicated Method, all deposits that exceed the federal depository insurance coverage level are collateralized with securities held by the Town's or the ABC Board's agents in these units' names. Under the Pooling Method, which is a collateral pool, all uninsured deposits are collateralized with securities held by the State Treasurer's agent in the name of the State Treasurer. Since the State Treasurer is acting in a fiduciary for the Town and the ABC Board, these deposits are considered to be held by the Town's and the ABC Board's agents in their names. The amount of the pledged collateral is based on an approved averaging method for non-interest bearing deposits and the actual current balance for interest-bearing deposits.

Depositories using the Pooling Method report to the State Treasurer the adequacy of their pooled collateral covering uninsured deposits. The State Treasurer does not confirm this information with the Town, the ABC Board, or the escrow agent. Because of the inability to measure the exact amounts of collateral pledged for the Town and the ABC Board under the Pooling Method, the potential exists for under-collateralization. This risk may increase in periods of high cash flows. However, the State Treasurer of North Carolina enforces strict standards of financial stability for each depository that collateralizes public deposits under the Pooling Method. The Town has no formal policy regarding custodial credit risk for deposits, but relies on the State Treasurer to enforce standards of minimum capitalization for all pooling method financial institutions and to monitor them for compliance. The Town complies with the provisions of G.S. 159-31 when designating official depositories and verifying that deposits are properly secured. The ABC Board has not adopted a formal policy regarding custodial risk for deposits.

At June 30, 2023, the Town's deposits had a carrying amount of \$8,500,778 and a bank balance of \$8,813,625. Of the bank balance, \$250,000 was covered by federal depository insurance and the remainder was covered by collateral held under the pooling method. The carrying amount of deposits for the ABC Board was \$771,045 and the bank balance was \$769,190. Of the bank balance, \$250,000 was covered by federal depository insurance and \$519,190 was covered by collateral under the pooling method. At June 30, 2023, the Town's petty cash fund totaled \$300.

2. Investments

At June 30, 2023, the Town had \$5,425,925 invested with the North Carolina Capital Management Trust's Cash Portfolio which carried a credit rating of AAAM by Standard and Poor's. The Town has no policy regarding credit risk of its investments.

At June 30, 2023, the Town's investment balances were as follows:

<u>Investments by Type</u>	<u>Valuation Measurement Method</u>	<u>Book Value at June 30, 2023</u>	<u>Maturity</u>	<u>Rating</u>
U.S. Treasury Notes	Fair Value Level 1	\$3,000,000	Various	N/A

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

All investments are measured using the market approach: using prices and other relevant information generated by market transactions involving identical or comparable assets or a group of assets. Level of fair value hierarchy: Level 1 – investments are valued using directly observable, quoted prices (unadjusted) in active markets for identical assets.

Interest Rate Risk. The Town has no formal investment policy regarding interest rate risk.

Credit Risk. The Town has no formal policy regarding credit risk, but has internal management procedures that limits investments and restricts the purchase of securities to the highest possible ratings whenever particular types of securities are rated.

Custodial Credit Risk. For an investment, the custodial risk is the risk that in the event of the failure of the counterparty, the Town will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party.

Concentration of Credit Risk. The Town's Board places no limit on the amount that the Town may invest in any one issuer.

3. Receivables - Allowances for Doubtful Accounts

The amount of taxes receivable presented in the Balance Sheet and the Statement of Net Position includes penalties levied and outstanding in the amount of \$1,957.

The amounts presented in the Balance Sheet and the Statement of Net Position for the year ended June 30, 2023 is net of the following allowances for doubtful accounts:

Water and Sewer Fund:	
Accounts receivable	\$ <u>16,901</u>
Total	\$ <u>16,901</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

4. Capital Assets

Primary Government

Capital asset activity for the Primary Government for the year ended June 30, 2023, was as follows:

	<u>Beginning Balances</u>	<u>Increases</u>	<u>Decreases</u>	<u>Ending Balances</u>
Governmental activities:				
Capital assets not being depreciated:				
Land	\$ 1,461,830	\$ -	\$ -	\$ 1,461,830
Construction in progress	1,783,189	201,848	-	1,985,037
Total capital assets not being depreciated	<u>3,245,019</u>	<u>201,848</u>	<u>-</u>	<u>3,446,867</u>
Capital assets being depreciated:				
Buildings	430,418	-	-	430,418
Furniture and equipment	777,032	15,275	-	792,307
Vehicles	1,207,395	250,246	-	1,457,641
Infrastructure	3,935,221	-	-	3,935,221
Total capital assets being depreciated	<u>6,350,066</u>	<u>265,521</u>	<u>-</u>	<u>6,615,587</u>
Less accumulated depreciation for:				
Buildings	226,606	10,412	-	237,018
Furniture and equipment	477,746	53,151	-	530,897
Vehicles	890,527	128,530	-	1,019,057
Infrastructure	2,366,678	171,606	-	2,538,284
Total accumulated depreciation	<u>3,961,557</u>	<u>363,699</u>	<u>-</u>	<u>4,325,256</u>
Total capital assets being depreciated, net	<u>2,388,509</u>			<u>2,290,331</u>
Governmental activity capital assets, net	<u>\$ 5,633,528</u>			<u>\$ 5,737,198</u>

Depreciation expense was charged to functions/programs of the primary government as follows:

General Government	\$ 92,351
Cultural and recreation	30,753
Public Safety	80,042
Public Works	160,553
Total depreciation expense	<u>\$ 363,699</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

Capital asset activity for the Business-type Activities for the year ended June 30, 2023, was as follows:

	Beginning Balances	Increases	Decreases	Ending Balances
Business-type Activities:				
Water and Sewer Fund				
Capital assets not being depreciated:				
Land	\$ 10,200	\$ -	\$ -	\$ 10,200
Construction in progress	3,502,790	2,125,819	-	5,628,609
Total capital assets not being depreciated	3,512,990	2,125,819	-	5,638,809
Capital assets being depreciated:				
Buildings	163,682	-	-	163,682
Other improvements	20,163,428	7,343	-	20,170,771
Vehicles	49,998	-	-	49,998
Equipment	568,041	47,173	-	615,214
Total capital assets being depreciated	20,945,149	54,516	-	20,999,665
Less accumulated depreciation for:				
Buildings	144,138	1,796	-	145,934
Other improvements	10,976,534	514,270	-	11,490,804
Vehicles	38,921	11,077	-	49,998
Equipment	380,548	44,934	-	425,482
Total accumulated depreciation	11,540,141	\$ 572,077	\$ -	12,112,218
Total capital assets being depreciated, net	9,405,008			8,887,447
Water and Sewer Fund capital assets, net	\$ 12,917,998			\$ 14,526,256

Construction Commitments

The Town has no active construction commitments as of June 30, 2023.

Discretely presented component unit

Activity for the ABC Board for the year ended June 30, 2023, was as follows:

	Beginning Balances	Increases	Decreases	Ending Balances
Capital assets not being depreciated:				
Land	\$ 6,750	\$ -	\$ -	\$ 6,750
Capital assets being depreciated:				
Buildings and improvements	194,081	26,770	-	220,851
Furniture and equipment	76,540	7,219	-	83,759
Total capital assets being depreciated	270,621	33,989	-	304,610
Less accumulated depreciation for:				
Buildings and improvements	139,703	9,506	-	149,209
Furniture and equipment	63,146	3,202	-	66,348
Total accumulated depreciation	202,849	12,708	-	215,557
Total capital asset, net	\$ 74,522			\$ 95,803

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

5. Right to Use Leased Asset

The Town has recorded a right to use leased asset. The asset is a right to use asset for leased office space. The related lease is discussed in the Leases subsection of the Liabilities section of this note. The right use leased asset is amortized on a straight-line basis over the term of the related lease.

	Beginning Balances	Increases	Decreases	Ending Balances
Right to use asset				
Office space	\$ -	\$ 412,951	\$ -	\$ 412,951
Total right to use asset	-	412,951	-	412,951
Less accumulated amortization				
Office space	-	34,413	-	34,413
Total accumulated amortization	-	34,413	-	34,413
Total right to use asset, net	<u>\$ -</u>			<u>\$ 378,538</u>

B. Liabilities

1. Pension Plan and Postemployment Obligations

a. Local Governmental Employees' Retirement System

Plan Description. The Town is a participating employer in the statewide Local Governmental Employees' Retirement System (LGERS), a cost-sharing multiple-employer defined benefit pension plan administered by the State of North Carolina. LGERS membership is comprised of general employees and local law enforcement officers (LEOs) of participating local governmental entities. Article 3 of G.S. Chapter 128 assigns the authority to establish and amend benefit provisions to the North Carolina General Assembly. Management of the plan is vested in the LGERS Board of Trustees, which consists of 13 members – nine appointed by the Governor, one appointed by the State Senate, one appointed by the State House or Representatives, and the State Treasurer and State Superintendent, who serve as ex-officio members. The Local Governmental Employees' Retirement System is included in the Annual Comprehensive Financial Report for the State of North Carolina. The State's Annual Comprehensive Financial Report includes financial statements and required supplementary information for LGERS. That report may be obtained by writing to the Office of the State Controller, 1410 Mail Service Center, Raleigh, North Carolina 27699-1410, or by calling (919) 981-5454, or at www.osc.nc.gov.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

Benefits Provided. LGERS provides retirement and survivor benefits. Retirement benefits are determined as 1.85% of the member's average final compensation times the member's years of creditable service. A member's average final compensation is calculated as the average of a member's four highest consecutive years of compensation. Plan members are eligible to retire with full retirement benefits at age 65 with five years of creditable service, at age 60 with 25 years of creditable service, or at any age with 30 years of creditable service. Plan members are eligible to retire with partial retirement benefits at age 50 with 20 years of creditable service or at age 60 with five years of creditable service (age 55 for firefighters).

Survivor benefits are available to eligible beneficiaries of members who die while in active service or within 180 days of their last day of service and who have either completed 20 years of creditable service regardless of age (15 years of creditable service for firefighters and rescue squad members who are killed in the line of duty) or have completed five years of service and have reached age 60. Eligible beneficiaries may elect to receive a monthly Survivor's Alternate Benefit for life or a return of the member's contributions. The plan does not provide for automatic post-retirement benefit increases. Increases are contingent upon actuarial gains of the plan.

LGERS plan members who are LEOs are eligible to retire with full retirement benefits at age 55 with five years of creditable service as an officer, or at any age with 30 years of creditable service. LEO plan members are eligible to retire with partial retirement benefits at age 50 with 15 years of creditable service as an officer. Survivor benefits are available to eligible beneficiaries of LEO members who die while in active service or within 180 days of their last day of service and who also have either completed 20 years of creditable service regardless of age, or have completed 15 years of service as a LEO and have reached age 50, or have completed five years of creditable service as a LEO and have reached age 55, or have completed 15 years of creditable service as a LEO if killed in the line of duty. Eligible beneficiaries may elect to receive a monthly Survivor's Alternate Benefit for life or a return of the member's contributions.

Contributions. Contribution provisions are established by General Statute 128-30 and may be amended only by the North Carolina General Assembly. Town of Pittsboro employees are required to contribute 6% of their compensation. Employer contributions are actuarially determined and set annually by the LGERS Board of Trustees. The Town of Pittsboro's contractually required contribution rate for the year ended June 30, 2023, was 13.10% of compensation for law enforcement officers and 12.10% for general employees and firefighters, actuarially determined as an amount that, when combined with employee contributions, is expected to finance the costs of benefits earned by employees during the year. Contributions to the pension plan from the Town of Pittsboro were \$436,439 for the year ended June 30, 2023.

Refunds of Contributions – Town employees who have terminated service as a contributing member of LGERS, may file an application for a refund of their contributions. By state law, refunds to members with at least five years of service include 4% interest. State law requires a 60-day waiting period after service termination before the refund may be paid. The acceptance of a refund payment cancels the individual's right to employer contributions or any other benefit provided by LGERS.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2023, the Town reported a liability of \$2,322,012 for its proportionate share of the net pension liability. The net pension asset was measured as of June 30, 2022. The total pension liability used to calculate the net pension asset was determined by an actuarial valuation as of December 31, 2021. The total pension liability was then rolled forward to the measurement date of June 30, 2022 utilizing update procedures incorporating the actuarial assumptions. The Town's proportion of the net pension asset was based on a projection of the Town's long-term share of future payroll covered by the pension plan, relative to the projected future payroll covered by the pension plan of all participating LGERS employers, actuarially determined. At June 30, 2022, the Town's proportion was 0.04116%, which was an increase of 0.00333% from its proportion as of June 30, 2021.

For the year ended June 30, 2023, the Town recognized pension expense of \$653,704. At June 30, 2023, the Town reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 100,053	\$ 9,810
Changes of assumptions	231,685	-
Net difference between projected and actual earnings on pension plan investments	767,449	-
Changes in proportion and differences between Town contributions and proportionate share of contributions	38,380	32,742
Town contributions subsequent to the measurement date	436,439	-
Total	<u>\$ 1,574,006</u>	<u>\$ 42,552</u>

\$436,439 was reported as deferred outflows of resources related to pensions resulting from Town contributions subsequent to the measurement date will be recognized as an increase of the net pension asset in the year ended June 30, 2024. Other amounts reported as deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended June 30:

2024	\$ 342,365
2025	289,106
2026	97,917
2027	365,627
2028	-
Thereafter	-

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

Actuarial Assumptions. The total pension liability in the December 31, 2021 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.5 percent
Salary increases	3.25 to 8.25 percent
Investment rate of return	6.5 percent, net of pension plan investment expense, including inflation

The plan currently uses mortality tables that vary by age, gender, employee group (i.e. general, law enforcement officer) and health status (i.e. disabled and healthy). The current mortality rates are based on published tables and based on studies that cover significant portions of the U.S. population. The healthy mortality rates also contain a provision to reflect future mortality improvements.

The actuarial assumptions used in the December 31, 2021 valuation were based on the results of an actuarial experience study for the period January 1, 2015 through December 31, 2019.

Future ad hoc COLA amounts are not considered to be substantively automatic and are therefore not included in the measurement.

The projected long-term investment returns and inflation assumptions are developed through review of current and historical capital markets data, sell-side investment research, consultant whitepapers, and historical performance of investment strategies. Fixed income return projections reflect current yields across the U.S. Treasury yield curve and market expectations of forward yields projected and interpolated for multiple tenors and over multiple year horizons. Global public equity return projections are established through analysis of the equity risk premium and the fixed income return projections. Other asset categories and strategies' return projections reflect the foregoing and historical data analysis. These projections are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class as of June 30, 2022 are summarized in the following table:

Asset Class	Target Allocation	Long-Term Expected Real Rate of Return
Fixed Income	29.0%	1.4%
Global Equity	42.0%	5.3%
Real Estate	8.0%	4.3%
Alternatives	8.0%	8.9%
Credit	7.0%	6.0%
Inflation Protection	6.0%	4.0%
Total	100%	

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

The information above is based on 30-year expectations developed with the consulting actuary for the 2021 asset liability and investment policy study for the North Carolina Retirement Systems, including LGERS. The long-term nominal rates of return underlying the real rates of return are arithmetic annualized figures. The real rates of return are calculated from nominal rates by multiplicatively subtracting a long-term inflation assumption of 3.25%. All rates of return and inflation are annualized.

Discount rate. The discount rate used to measure the total pension liability was 6.50%. The projection of cash flows used to determine the discount rate assumed that contributions from plan members will be made at the current contribution rate and that contributions from employers will be made at statutorily required rates, actuarially determined. Based on these assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of the current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the Town's proportionate share of the net pension asset to changes in the discount rate. The following presents the Town's proportionate share of the net pension asset calculated using the discount rate of 6.50 percent, as well as what the Town's proportionate share of the net pension asset or net pension liability would be if it were calculated using a discount rate that is one percentage point lower (5.50 percent) or one percentage point higher (7.50 percent) than the current rate:

	1% Decrease (5.50%)	Discount Rate (6.50%)	1% Increase (7.50%)
Town's proportionate share of the net pension liability (asset)	\$ 4,190,932	\$ 2,322,012	\$ 781,913

Pension plan fiduciary net position. Detailed information about the pension plan's fiduciary net position is available in the separately issued Annual Comprehensive Financial Report for the State of North Carolina.

b. Law Enforcement Officers Special Separation Allowance

1. Plan Description.

The Town of Pittsboro administers a public employee retirement system (the "Separation Allowance"), a single employer defined benefit pension plan that provides retirement benefits to the Town's qualified sworn law enforcement officers under the age of 62 who have completed at least 30 years of creditable service or have attained 55 years of age and have completed five or more years of creditable service. The Separation Allowance is equal to .85 percent of the annual equivalent of the base rate of compensation most recently applicable to the officer for each year of creditable service. The retirement benefits are not subject to any increases in salary or retirement allowances that may be authorized by the General Assembly. Article 12D of G.S. Chapter 143 assigns the authority to establish and amend benefit provisions to the North Carolina General Assembly.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

All full-time law enforcement officers of the Town are covered by the Separation Allowance. At December 31, 2022, the Separation Allowance's membership consisted of:

Retirees receiving benefits	2
Active plan members	12
Total	14

A separate report was not issued for the plan.

2. Summary of Significant Accounting Policies:

Basis of Accounting. The Town has chosen to fund the Separation Allowance on a pay as you go basis. Pension expenditures are made from the General Fund, which is maintained on the modified accrual basis of accounting. Benefits and refunds are recognized when due and payable in accordance with the terms of the plan.

The Separation Allowance has no assets accumulated in a trust that meets the following criteria which are outlined in GASB Statement 73.

3. Actuarial Assumptions

The entry age actuarial cost method was used in the December 31, 2021 valuation. The total pension liability in the December 31, 2021 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.5 percent
Salary increases	3.25 to 7.75 percent, including inflation and productivity factor
Discount rate	4.31 percent

The discount rate is based on the yield of the S&P Municipal Bond 20 Year High Grade Rate Index from an experience study completed by the Actuary for the Local Governmental Employees' Retirement System for the five-year period ending December 31, 2019.

Mortality rates are based on the Pub-2010 amount-weighted tables and are projected from 2010 using generational improvement with Scale MP-2019.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

4. Contributions

The Town is required by Article 12D of G.S. Chapter 143 to provide these retirement benefits and has chosen to fund the amounts necessary to cover the benefits earned on a pay as you go basis through appropriations made in the General Fund operating budget. For the current year, the Town paid \$42,174 in benefits. The Town's obligation to contribute to this plan is established and may be amended by the North Carolina General Assembly. There were no contributions made by employees.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2023, the Town reported a total pension liability of \$577,496. The total pension liability was measured as of December 31, 2021 based on a December 31, 2021 actuarial valuation. The total pension liability was then rolled forward to the measurement date of December 31, 2022 utilizing update procedures incorporating the actuarial assumptions. For the year ended June 30, 2023, the Town recognized pension expense of \$55,036.

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 31,327	\$ 16,545
Changes of assumptions and other inputs	93,234	103,691
Benefit payments and administrative expenses subsequent to the measurement date	-	-
Total	<u>\$ 124,561</u>	<u>\$ 120,236</u>

\$0 reported as deferred outflows of resources related to pensions resulting from benefit payments made and administrative expenses incurred subsequent to the measurement date will be recognized as a decrease of the total pension liability in the year ended June 30, 2023. Other amounts reported as deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended June 30:

2024	\$ 32,982
2025	28,256
2026	20,863
2027	20,863
2028	17,272
Thereafter	-

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

Sensitivity of the Town's total pension liability to changes in the discount rate. The following presents the Town's total pension liability calculated using the discount rate of 4.31 percent, as well as what the Town's total pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (3.31 percent) or 1-percentage-point higher (5.31 percent) than the current rate:

	1% Decrease (3.31%)	Discount Rate (4.31%)	1% Increase (5.31%)
Town's proportionate share of the net pension liability (asset)	\$ 626,130	\$ 577,496	\$ 533,848

Schedule of Changes in Total Pension Liability
Law Enforcement Officers' Special Separation Allowance

Beginning balance	\$ 667,951
Service Cost	29,205
Interest on the total pension liability	14,554
Changes of benefit terms	-
Differences between expected and actual experience in the measurement of the total pension liability	14,053
Changes of assumptions or other inputs	(106,093)
Benefit payments	(42,174)
Other changes	-
Total	<u>\$ 577,496</u>

The plan currently uses mortality tables that vary by age, and health status (i.e. disabled and healthy). The current mortality rates are based on published tables and based on studies that cover significant portions of the U.S. population. The healthy mortality rates also contain a provision to reflect future mortality improvements.

The actuarial assumptions used in the December 31, 2021 valuation were based on the results of an actuarial experience study for the five-year period ending December 31, 2019.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

Total Expense, Liabilities, and Deferred Outflows and Inflows of Resources of Related to Pensions

Following is information related to the proportionate share and pension expense for all pension plans:

	LGERS	LEOSSA	Total
Pension Expense	\$ 653,704	\$ 55,036	\$ 708,740
Pension Liability	2,322,012	577,496	2,899,508
Proportionate share of the net pension liability	0.04116%	n/a	
Deferred Outflows of Resources			
Differences between expected and actual experience	100,053	31,327	131,380
Changes of assumptions	231,685	93,234	324,919
Net difference between projected and actual earnings			
on plan investments	767,449	-	767,449
Changes in proportion and differences between Town			
contributions and proportionate share of contributions	38,380	-	38,380
Town benefit payments and plan administrative expense			
made subsequent to the measurement date	436,439	-	436,439
Deferred Inflows of Resources			
Differences between expected and actual experience	9,810	16,545	26,355
Changes of assumptions	-	103,691	103,691
Net difference between projected and actual earnings			
on plan investments	-	-	-
Changes in proportion and differences between Town			
contributions and proportionate share of contributions	32,742	-	32,742

c. Supplemental Retirement Income Plan for Law Enforcement Officers

Plan Description. The Town contributes to the Supplemental Retirement Income Plan (Plan), a defined contribution pension plan administered by the Department of State Treasurer and a Board of Trustees. The Plan provides retirement benefits to law enforcement officers employed by the Town. Article 5 of G.S. Chapter 135 assigns the authority to establish and amend benefit provisions to the North Carolina General Assembly. The Supplemental Retirement Income Plan for Law Enforcement Officers is included in the Annual Comprehensive Financial Report for the State of North Carolina. The State's Annual Comprehensive Financial Report includes the pension trust fund financial statements for the Internal Revenue Code Section 401(k) plan that includes the Supplemental Retirement Income Plan for Law Enforcement Officers. That report may be obtained by writing to the Office of the State Controller, 1410 Mail Service Center, Raleigh, North Carolina 27699-1410, or by calling (919) 981-5454.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

Funding Policy. Article 12E of G.S. Chapter 143 requires the Town to contribute each month an amount equal to five percent of each officer's salary, and all amounts contributed are vested immediately. Also, the law enforcement officers may make voluntary contributions to the Plan. Contributions for the year ended June 30, 2023 were \$71,613, which consisted of \$49,703 from the Town and \$21,910 from the law enforcement officers.

d. Section 401(k) Plan for General Employees

Plan Description. The Town contributes to a 401(k) Plan, a defined contribution plan administered by the Prudential Insurance Company of America. The Plan provides retirement benefits to the general employees, other than law enforcement, employed by the Town.

Funding Policy. The Town annually determines the amount of contributions. For the year ended June 30, 2023, the Town contributed five percent (5.0%) on each general employee's salary. Also, the general employees may make voluntary contributions to the Plan. Contributions for the year ended June 30, 2023 were \$171,223, which consisted of \$128,194 from the Town and \$43,029 from the general employees.

e. Other Postemployment Benefits

Healthcare Benefits

Plan Description. Under the terms of a Town resolution, the Town administers a single employer defined benefit Healthcare Benefits Plan (the HCB Plan). The Town Board has the authority to establish and amend the benefit terms and financing requirements. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement 75.

Benefits Provided. Prior to July 1, 2007, retirees qualified for benefits similar to those of employees after a minimum of five years of creditable service with the Town. The Town pays the full cost of coverage for employees' benefits through private insurers and employees have the option of purchasing dependent coverage at the Town's group rates. Employees hired on or after July 1, 2007 who retire with a minimum of 20 years of creditable service also have the option of purchasing coverage for themselves and dependents at the Town's group rate. Employees hired on or after July 1, 2007 who retire with less than 20 years of service are not eligible for postemployment coverage. Retirees who qualify for coverage receive the same benefits as active employees. Coverage for all retirees who are eligible for Medicare will be transferred to a Medicare Supplemental plan after qualifying for Medicare. The Town Council may amend the benefit provisions. A separate report was not issued for the plan.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

e. Other Postemployment Benefits (Continued)

Retired Employees' Years of Creditable Service	Date Hired	
	Pre-July 1, 2007	On or after July 1, 2007
Less than 5 years	Not eligible for coverage	Not eligible for coverage
5 - 20 years	Full coverage paid for by City	Not eligible for coverage
20+ years	Full coverage paid for by City	Full coverage paid for by City

Membership of the HCB Plan consisted of the following at June 30, 2022, the date of the latest actuarial valuation:

	General Employees:	Law Enforcement Officers:
Retirees and dependents receiving benefits	12	5
Terminated plan members entitled to but not yet receiving benefits	0	0
Active plan members	32	11
Total	44	16

Total OPEB Liability

The Town's total OPEB liability of \$1,022,129 was measured as of June 30, 2022 and was determined by an actuarial valuation as of that date.

Actuarial assumptions and other inputs. The total OPEB liability in the June 30, 2022 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement unless otherwise specified:

Inflation	2.5 percent
Salary increases	3.25 – 8.41% percent, average, including inflation
Discount rate	2.16 percent
Healthcare cost trend rates	Pre-Medicare – 7.0% for 2022 decreasing to an ultimate Rate of 4.5% by 2032

The discount rate is based on the yield of the S&P Municipal Bond 20 Year High Grade Rate Index as of the measurement date.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

Changes in the Total OPEB Liability (Continued)

Changes in the Total OPEB Liability

Beginning balance	\$ 1,107,018
Service Cost	98,508
Interest	25,576
Changes of benefit terms	-
Differences between expected and actual experience	(6,540)
Changes of assumptions or other inputs	(159,341)
Benefit payments	(43,092)
Total	<u><u>\$ 1,022,129</u></u>

Changes in assumptions and other inputs reflect a change in the discount rate from 2.16% to 3.54%.

Mortality rates were based on the RP-2014 Total Data Set for Healthy Annuitants Mortality Table.

The actuarial assumptions used in the June 30, 2022 valuation were based on the results of an actuarial experience study for the period January 2015 through December 2019.

Sensitivity of the total OPEB liability to changes in the discount rate. The following presents the total OPEB liability of the Town, as well as what the Town's total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.54 percent) or 1-percentage-point higher (4.54 percent) than the current discount rate:

	<u>1% Decrease</u> <u>(2.54%)</u>	<u>Discount Rate</u> <u>(3.54%)</u>	<u>1% Increase</u> <u>(4.54%)</u>
Total OPEB Liability	\$ 1,168,973	\$ 1,022,129	\$ 894,681

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates. The following presents the total OPEB liability of the Town, as well as what the Town's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower or 1-percentage-point higher than the current healthcare cost trend rates:

	<u>1% Decrease</u>	<u>Current</u>	<u>1% Increase</u>
Total OPEB Liability	\$ 857,965	\$ 1,022,129	\$ 1,224,930

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

For the year ended June 30, 2023, the Town recognized OPEB expense of \$52,470. At June 30, 2023, the Town reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ -	\$ 367,654
Changes of assumptions and other inputs	136,108	156,717
Benefit payments and administrative expenses subsequent to the measurement date	-	-
Total	<u>\$ 136,108</u>	<u>\$ 524,371</u>

\$0 reported as deferred outflows of resources related to pensions resulting from benefit payments made and administrative expenses incurred subsequent to the measurement date will be recognized as a decrease of the total pension liability in the year ended June 30, 2024. Other amounts reported as deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended June 30:

2024	\$ (71,614)
2025	(71,614)
2026	(63,427)
2027	(62,536)
2028	(66,280)
Thereafter	(52,792)

2. Other Employment Benefits

The Town has elected to provide death benefits to employees through the Death Benefit Plan for members of the Local Governmental Employees' Retirement System (Death Benefit Plan), a multiple-employer, State-administered, cost-sharing plan funded on a one-year term cost basis. The beneficiaries of those employees who die in active service after one year of contributing membership in the System, or who die within 180 days after retirement or termination of service and have at least one year of contributing membership service in the System at the time of death are eligible for death benefits. Lump sum death benefit payments to beneficiaries are equal to the employee's 12 highest months' salary in a row during the 24 months prior to the employee's death, but the benefit may not exceed \$50,000 or be less than \$25,000. All death benefit payments are made from the Death Benefit Plan. The Town has no liability beyond the payment of monthly contributions.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

The contributions to the Death Benefit Plan cannot be separated between the post-employment benefit amount and the other benefit amount. The Town considers these contributions to be immaterial.

3. Deferred Outflows and Inflows of Resources

The Town has several deferred outflows of resources. Deferred outflows of resources is comprised of the following:

<u>Source</u>	<u>Amount</u>
Contributions to pension plan in current fiscal year	\$ 1,834,675

Deferred inflows of resources at year-end is comprised of the following:

	<u>Statement of Net Position</u>	<u>General Fund Balance Sheet</u>
Prepaid taxes (General Fund)	\$ 20,623	\$ 20,623
Deferred rent	450,000	450,000
Taxes Receivable, less penalties (General Fund)	-	48,135
OPEB deferrals	524,371	-
Pension deferrals	162,788	-
Total	<u>\$ 1,157,782</u>	<u>\$ 518,758</u>

4. Risk Management

The Town is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The Town participates in three (3) self-funded risk financing pools administered by the North Carolina League of Municipalities. Through these pools, the Town obtains general liability and auto liability coverage of \$1,000,000 per occurrence, property coverage up to the total insurance values of the property policy, workers' compensation coverage up to statutory limits, and employee health coverage. The liability and property exposures are reinsured through commercial carriers for claims in excess of retentions as selected by the Board of Trustees each year. Stop loss insurance is purchased by the Board of Trustees to protect against medical claims that exceed certain dollar cost levels. Specific information on the limits of the reinsurance, excess and stop loss policies purchased by the Board of Trustees can be obtained by contacting the Risk Management Services Department of the NC League of Municipalities. The pools are audited annually by certified public accountants, and the audited financial statements are available to the Town upon request.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

The Town carries commercial insurance for all other risks of loss. There have been no significant reductions in insurance coverage from the prior year, and settled claims have not exceeded coverage in any of the past three fiscal years.

The Town carries flood insurance through the National Flood Insurance Plan (NFIP). Because the Town is in an area of the State that has been mapped and designated an “A” area (an area close to a river, lake or stream) by the Federal Emergency Management Agency, the Town is eligible to purchase coverage of \$500,000 per structure through the NFIP. The Town also is eligible to and has purchased commercial flood insurance for another \$5,000,000 of coverage per structure.

In accordance with G.S. 159-29, the Town’s employees that have access to \$100 or more at any given time of the Town’s funds are performance bonded through a commercial surety bond. The finance officer, town clerk and mayor are all bonded for \$50,000 each through a commercial surety bond. The remaining employees that have access to funds are bonded under a blanket bond for \$250,000.

5. Claims, Judgments and Contingent Liabilities

The Town is contingently liable in respect to other claims in the normal course of its operations. Should the Town become liable in these matters, such liability would be satisfied by budgetary appropriation in excess of insurance coverage in a subsequent year.

6. Long-Term Obligations

a. Leases

The Town has entered into an agreement to lease office space. The lease agreements qualify as other than short-term leases under GASB 87 and, therefore, have been recorded at the present value of the future minimum lease payments as of the date of their inception.

The agreement was executed on February 1, 2023, to lease office space and requires 60 monthly payments, increasing by 3% annually. The lease liability is measured at a discount rate of 4.6%, which is the incremental borrowing rate. As a result of the lease, the Town has recorded a right to use asset with a net book value of \$378,538 at June 30, 2023. The right to use asset is discussed in more detail in the Assets section of this note. The future minimum lease obligations and the net present value of these minimum lease payments as of June 30, 2023 were as follows:

Year ended June 30:	<u>Principal</u>	<u>Interest</u>
2024	\$ 72,096	\$ 16,113
2025	78,185	12,670
2026	84,642	8,939
2027	91,486	4,903
2028	56,331	867
	<u>\$ 382,740</u>	<u>\$ 43,492</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

b. General Obligation Indebtedness

General obligation bonds issued to finance the construction of facilities utilized in the operations of the water and sewer system and which are being retired by its resources are reported as long-term debt in the Water and Sewer Fund. All general obligation bonds are collateralized by the full faith, credit, and taxing power of the Town. Principal and interest requirements are appropriated when due.

Bonds payable at June 30, 2023 are comprised of the following individual issues:

General Obligation Bonds

Serviced by the Water and Sewer Fund:

Water and Sewer Bonds (FHA); issued November 1, 1994; maturing serially to June 1, 2034; interest at 5.25%.

\$ 239,000

\$ 239,000

Annual debt service requirements to maturity for long-term obligations are as follows:

Year ended June 30:	Business-type Activities	
	General Obligation Bonds	
	Principal	Interest
2024	\$ 20,000	\$ 12,548
2025	21,000	11,498
2026	22,000	10,395
2027	22,000	9,240
2028	22,000	8,085
2029-2033	110,000	20,790
2034-2038	22,000	3,465
	<u>\$ 239,000</u>	<u>\$ 76,021</u>

Notes Payable

Serviced by the General Fund:

Direct note payable with a financial institution to finance the purchase of vehicles; issued on September 23, 2020; due in annual installments of \$40,051 including interest at 1.97%; matures September 23, 2024; secured by vehicles. Split between the general and water and sewer funds.

74,243

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

Direct note payable with a financial institution to finance the purchase of vehicles; issued on September 5, 2019; due in annual installments of \$58,102 including interest at 2.42%; matures September 5, 2023; secured by vehicles. Split between the general and water and sewer funds.

42,825

\$ 117,068

Serviced by the Water and Sewer Fund:

Direct placement ARRA Federal Revolving Loan; issued August 4, 2009; due in twenty annual installments of \$62,319 beginning on May 1st after the project has been completed for six months; non-interest bearing; maximum amount of loan is \$1,246,370; project was completed in December 2010.

\$ 425,630

Direct placement DEQ Federal Revolving Loan; issued November 29, 2016; due in twenty annual installments of \$24,729 beginning on May 1st after the project has been completed for six months; non-interest bearing; maximum amount of loan is \$494,500.

346,150

Direct note payable with a financial institution to finance the purchase of vehicles; issued on September 23, 2020; due in annual installments of \$40,051 including interest at 1.97%; matures September 23, 2024; secured by vehicles. Split between the general and water and sewer funds.

9,866

Direct note payable with a financial institution to finance the purchase of vehicles; issued on September 5, 2019; due in annual installments of \$58,102 including interest at 2.42%; matures September 5, 2023; secured by vehicles. Split between the general and water and sewer funds.

13,903

\$ 795,549

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

Annual debt service requirements to maturity for long-term obligations are as follows:

Year ended June 30:	Governmental Activities		Business-type Activities	
	Notes Payable		Notes Payable	
	Principal	Interest	Principal	Interest
2024	\$ 79,620	\$ 2,495	\$ 104,283	\$ -
2025	37,448	738	90,547	-
2026	-	-	85,530	-
2027	-	-	85,530	-
2028	-	-	60,805	-
2029-2033	-	-	245,229	-
2034-2038	-	-	123,625	-
	<u>\$ 117,068</u>	<u>\$ 3,233</u>	<u>\$ 795,549</u>	<u>\$ -</u>

The Town has a legal debt margin of \$70,192,990 at June 30, 2023.

c. Change in Long-Term Liabilities

	Beginning			Ending	Current Portion
	Balance	Increases	Decreases	Balance	of Balance
<i>Governmental activities:</i>					
Direct Notes Payable	\$ 235,689	\$ -	\$ 118,621	\$ 117,068	\$ 79,620
Lease liability	-	412,951	30,211	382,740	72,096
Net pension liability (LGERS)	364,810	1,063,927	-	1,428,737	-
Total pension liability (LEO)	667,951	-	90,455	577,496	-
Compensated absences	132,824	6,233	-	139,057	-
Total OPEB liability	680,378	-	51,461	628,917	-
Governmental activity long-term liabilities	<u>\$2,081,652</u>	<u>\$1,483,111</u>	<u>\$ 290,748</u>	<u>\$3,274,015</u>	<u>\$ 151,716</u>
<i>Business-type activities:</i>					
<u>Water and Sewer Fund</u>					
General obligation bonds	\$ 258,000	\$ -	\$ 19,000	\$ 239,000	\$ 20,000
Direct Notes Payable	906,174	-	110,625	795,549	104,283
Net pension liability (LGERS)	214,889	678,386	-	893,275	-
Compensated absences	51,357	1,900	-	53,257	-
Total OPEB liability	426,640	-	33,428	393,212	-
Water and Sewer Fund long-term liabilities	<u>\$1,857,060</u>	<u>\$ 680,286</u>	<u>\$ 163,053</u>	<u>\$2,374,293</u>	<u>\$ 124,283</u>
Business activity long-term liabilities	<u>\$1,857,060</u>	<u>\$ 680,286</u>	<u>\$ 163,053</u>	<u>\$2,374,293</u>	<u>\$ 124,283</u>

The ABC Board had no long-term debt at June 30, 2023.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

d. Interfund Balances and Activity

Transfers are used to move unrestricted revenues to finance various programs that the government must account for in other funds in accordance with budgetary authorizations, including amounts providing matching funds for various grant programs. Transfers between funds during the year ended June 30, 2023 were:

• Transfer from the General Fund to the Sidewalks and Greenways project fund for project expenditures	\$ 220,000
• Transfer from the General Fund to the Affordable Housing project fund for project expenditures	\$ 85,353
• Transfer from the General Fund to the Police Station project fund for project expenditures	\$ 100,000
• Transfer from the General Fund to the Buildings and Grounds project fund for project expenditures	\$ 50,000
• Transfer from the General Fund to the Town Hall project fund for project expenditures	\$ 105,000
• Transfer from the General Fund to the Parks and Recreation project fund for project expenditures	<u>\$ 875,000</u>
	<u>\$ 1,435,353</u>
• Transfer from the Water and Sewer Fund to the Water Extensions and Maintenance Project fund for project expenditures	\$ 35,000
• Transfer from the Water and Sewer Fund to the Sanford Regionalization Project fund for project expenditures	\$ 150,000
• Transfer from the Water and Sewer Fund to the Water Plant Improvements Project fund for project expenditures	\$1,392,070
• Transfer from the Water Plant Improvements Project fund to the Water & Sewer Fund for operations	\$ 696,035
• Transfer from Water & Sewer Fund to Traffic Circle Project for project expenditures	\$ 52,552
	<u>\$2,325,657</u>
	<u>\$3,761,010</u>

e. Net Investment in Capital Assets

Governmental activities:

Total capital assets	\$ 5,737,198
Less: Notes payable	<u>117,068</u>
	<u>\$ 5,620,130</u>

Business-type activities:

Total capital assets	\$ 14,526,256
Less: Bonds payable	239,000
Notes payable	<u>795,549</u>
	<u>\$ 13,491,707</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2023

II. Detail Notes on All Funds (Continued)

f. Fund Balance

The following schedule provides management and citizens with information on the portion of General Fund balance that is available for appropriation:

Total fund balance-General Fund	\$ 6,745,612
Less:	
Non spendable – prepaid items	52,371
Stabilization by State Statute	761,037
Streets-Powell Bill	18,194
Public Safety	-
General Government	-
Appropriated Fund Balance in 2023 budget	-
Remaining Fund Balance	\$ 5,768,490

The outstanding encumbrances are amounts needed to pay any commitments related to purchase orders and contracts that remain unperformed at year-end. The Town had no encumbrances at June 30, 2023.

III. Jointly Governed Organization

The Town, in conjunction with various counties and other municipalities, established the Triangle J Council of Governments (Council). The participating governments established the Council to coordinate various funding received from federal and State agencies. Each participating government appoints one member of the Council's governing board. The Town paid membership fees of \$1,777 to the Council during the year ended June 30, 2023.

IV. Summary Disclosure of Significant Contingencies

Federal and State Assisted Programs

The Town has received proceeds from several federal and State grants. Periodic audits of these grants are required and certain costs may be questioned as not being appropriate expenditures under the grant agreements. Such audits could result in the refund of grant monies to the grantor agencies. Management believes that any required refunds will be immaterial. No provision has been made in the accompanying financial statements for the refund of grant monies.

V. Significant Effects of Subsequent Events

Subsequent events have been evaluated November 6, 2023, the date which the financial statements were available to be issued. There were no recognized events meriting disclosure.

REQUIRED SUPPLEMENTAL FINANCIAL DATA

TOWN OF PITTSBORO, NORTH CAROLINA
Town of Pittsboro's Proportionate Share of Net Pension Liability (Asset)
Required Supplementary Information
Last Ten Fiscal Years*

Schedule 1

Local Government Employees' Retirement System

	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>	<u>2014</u>
Pittsboro's proportion of the net pension liability (asset) (%)	0.0412%	0.0378%	0.0393%	0.0385%	0.0356%	0.0377%	0.0366%	0.0348%	-0.0359%	0.0355%
Pittsboro's proportion of the net pension liability (asset) (\$)	\$ 2,322,012	\$ 579,699	\$ 1,404,714	\$ 1,050,859	\$ 845,028	\$ 575,798	\$ 776,774	\$ 156,359	\$ (211,601)	\$ 427,911
Pittsboro's covered-employee payroll	\$ 2,875,936	\$ 2,432,825	\$ 2,544,219	\$ 2,408,038	\$ 2,166,530	\$ 2,175,276	\$ 2,030,243	\$ 1,893,809	\$ 1,821,230	\$ 1,861,303
Pittsboro's proportionate share of the net pension liability (asset) as a percentage of its covered payroll	80.74%	23.83%	55.21%	43.64%	39.00%	26.47%	38.26%	8.26%	-11.62%	22.99%
Plan fiduciary net position as a percentage of the total pension liability **	84.14%	95.51%	91.63%	94.18%	91.47%	98.09%	99.07%	102.64%	94.35%	96.45%

* The amount presented for each fiscal year were determined as of the prior fiscal year ending June 30.

** This will be the same percentage for all participant employers in the LGERS plan.

TOWN OF PITTSBORO, NORTH CAROLINA
Town of Pittsboro's Contributions
Required Supplementary Information
Last Ten Fiscal Years*

Schedule 2

Local Government Employees' Retirement System

	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>	<u>2014</u>
Contractually required contribution	\$ 436,439	\$ 332,866	\$ 252,674	\$ 234,163	\$ 194,221	\$ 155,389	\$ 151,018	\$ 138,781	\$ 136,371	\$ 133,161
Contributions in relation to the contractually required contribution	<u>436,439</u>	<u>332,866</u>	<u>252,674</u>	<u>234,163</u>	<u>194,221</u>	<u>155,389</u>	<u>151,018</u>	<u>138,781</u>	<u>136,371</u>	<u>133,161</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Pittsboro's covered-employee payroll	\$ 3,520,090	\$ 2,875,936	\$ 2,432,825	\$ 2,544,219	\$ 2,408,038	\$ 2,166,530	\$ 2,175,276	\$ 2,030,243	\$ 1,893,809	\$ 1,821,230
Contribution as a percentage of covered-employee payroll	12.40%	11.57%	10.39%	9.20%	8.07%	7.17%	6.94%	6.84%	7.20%	7.31%

TOWN OF PITTSBORO, NORTH CAROLINA
Schedule of Changes in Total Pension Liability
Law Enforcement Officer's Special Separation Allowance
June 30, 2023

Schedule 3

	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>
Beginning balance	\$ 667,951	\$ 675,832	\$ 475,678	\$ 490,157	\$ 493,116	\$ 439,178	\$ 441,964
Service Cost	29,205	31,052	23,108	20,355	20,931	16,024	18,353
Interest on the total pension liability	14,554	12,637	14,906	17,541	15,321	16,633	15,302
Changes of benefit terms	-	-	-	-	-	-	-
Differences between expected and actual experience in the measurement of the total pension liability	14,053	9,160	26,270	(49,873)	(4,101)	10,929	-
Changes of assumptions or other inputs	(106,093)	(18,556)	172,763	14,031	(18,577)	26,885	(9,767)
Benefit payments	(42,174)	(42,174)	(36,893)	(16,533)	(16,533)	(16,533)	(26,674)
Other changes	-	-	-	-	-	-	-
Ending balance of the total pension liability	<u>\$ 577,496</u>	<u>\$ 667,951</u>	<u>\$ 675,832</u>	<u>\$ 475,678</u>	<u>\$ 490,157</u>	<u>\$ 493,116</u>	<u>\$ 439,178</u>

The amounts presented for each fiscal year were determined as of the prior fiscal year ending December 31.

TOWN OF PITTSBORO, NORTH CAROLINA
Schedule of Total Pension Liability as a Percentage of Covered Payroll
Law Enforcement Officer's Special Separation Allowance
June 30, 2023

Schedule 4

	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>
Total pension liability	\$ 577,496	\$ 667,951	\$ 675,832	\$ 475,678	\$ 490,157	\$ 493,116	\$ 439,178
Covered payroll	713,099	707,775	798,544	695,133	619,020	581,502	648,714
Total pension liability as a percentage of covered payroll	80.98%	94.37%	84.63%	68.43%	79.18%	84.80%	67.70%

Notes to the schedules:

The Town of Pittsboro has no assets accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement 73 to pay related benefits.

TOWN OF PITTSBORO, NORTH CAROLINA
Schedule of Changes in the Total OPEB Liability and Related Ratios
June 30, 2023

Schedule 5

	<u>2023</u>	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>
Total OPEB Liability						
Service cost	\$ 98,508	\$ 99,387	\$ 108,840	\$ 100,775	\$ 80,451	\$ 86,762
Interest	25,576	24,018	47,861	42,115	35,111	28,681
Changes of benefit terms	-	-	-	-	-	-
Differences between expected and actual experience	(6,540)	(3,261)	(547,412)	(6,822)	(19,811)	(2,609)
Changes of assumptions	(159,341)	13,917	143,437	56,191	14,053	(66,757)
Benefit payments	(43,092)	(28,728)	(19,152)	(13,440)	(13,440)	(11,946)
Net change in total OPEB liability	<u>(84,889)</u>	<u>105,333</u>	<u>(266,426)</u>	<u>178,819</u>	<u>96,364</u>	<u>34,131</u>
Total OPEB liability - beginning	<u>1,107,018</u>	<u>1,001,685</u>	<u>1,268,111</u>	<u>1,089,292</u>	<u>992,928</u>	<u>958,797</u>
Total OPEB liability - ending	<u><u>\$ 1,022,129</u></u>	<u><u>\$ 1,107,018</u></u>	<u><u>\$ 1,001,685</u></u>	<u><u>\$ 1,268,111</u></u>	<u><u>\$ 1,089,292</u></u>	<u><u>\$ 992,928</u></u>
 Covered payroll	 2,859,523	 2,033,411	 2,033,411	 2,060,483	 2,060,483	 1,966,195
 Total OPEB liability as a percentage of covered payroll	 35.74%	 54.44%	 49.26%	 61.54%	 52.87%	 50.50%

Notes to Schedule

Changes of assumptions: Changes of assumptions and other inputs reflect the effects of changes in the discount rate of each period. The following are the discount rates used in each period:

<u>Fiscal year</u>	<u>Rate</u>
2023	3.54%
2022	2.16%
2021	2.21%
2020	3.50%
2019	3.89%
2018	3.56%

INDIVIDUAL FUND STATEMENTS AND SCHEDULES

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 6

General Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual

For the Fiscal Year Ended June 30, 2023

	Budget	Actual	Variance Positive (Negative)
Revenues:			
Ad valorem taxes:			
Taxes - current year	\$ 3,746,088	\$ 3,878,156	\$ 132,068
Taxes - prior years	18,000	6,928	(11,072)
Interest and penalties	6,000	10,667	4,667
Total	<u>3,770,088</u>	<u>3,895,751</u>	<u>125,663</u>
Other taxes and licenses:			
Local option sales tax	1,255,000	1,466,037	211,037
Hold harmless tax	390,000	439,526	49,526
Utilities / cable franchise taxes	189,900	204,593	14,693
Telecommunications tax	19,000	10,197	(8,803)
Video sales tax	26,000	18,593	(7,407)
Other taxes and licenses	120,200	147,566	27,366
Total	<u>2,000,100</u>	<u>2,286,512</u>	<u>286,412</u>
Unrestricted intergovernmental:			
ABC Board profit distribution	58,000	136,888	78,888
Total	<u>58,000</u>	<u>136,888</u>	<u>78,888</u>
Restricted intergovernmental:			
State street aid - Powell Bill	125,000	142,165	17,165
Other	211,835	31,045	(180,790)
Total	<u>336,835</u>	<u>173,210</u>	<u>(163,625)</u>
Permits and fees:			
Zoning fees	35,550	83,667	48,117
Business registration fees	-	-	-
Other fees	170,000	70,486	(99,514)
Off-duty police officer fees	750	1,105	355
Total	<u>206,300</u>	<u>155,258</u>	<u>(51,042)</u>
Sales and services:			
Solid waste revenues	535,000	541,911	6,911
Recreation	11,500	-	(11,500)
Facilities rental	2,500	7,018	4,518
Other	670,400	500,590	(169,810)
Total	<u>1,219,400</u>	<u>1,049,519</u>	<u>(169,881)</u>
Investment earnings	<u>2,500</u>	<u>82,831</u>	<u>80,331</u>
Miscellaneous	<u>90,000</u>	<u>51,397</u>	<u>(38,603)</u>
Total revenues	<u>7,683,223</u>	<u>7,831,366</u>	<u>148,143</u>

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 6

General Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Fiscal Year Ended June 30, 2023
(Continued)

	<u>Budget</u>	<u>Actual</u>	<u>Variance Positive (Negative)</u>
Expenditures:			
General government:			
Governing body:			
Salaries and employee benefits	\$ 39,314	\$ 37,958	\$ 1,356
Payroll taxes	3,000	2,900	100
Special event sponsorship	32,000	11,502	20,498
Travel and training	9,000	2,507	6,493
Postage	50	-	50
Advertising	50	-	50
Departmental supplies	3,500	299	3,201
Contracted services	90,630	84,841	5,789
Economic development	8,000	7,403	597
Dues and subscriptions	13,035	8,194	4,841
Insurance and bonds	1,500	2,995	(1,495)
Total	<u>200,079</u>	<u>158,599</u>	<u>41,480</u>
Administration:			
Salaries and employee benefits	524,449	408,254	116,195
Payroll taxes	30,312	24,739	5,573
Employee appreciation	5,000	4,541	459
Telephone	10,164	8,668	1,496
Travel and training	31,500	22,220	9,280
Maintenance - equipment	1,250	98	1,152
Postage	650	225	425
Advertising	750	39	711
Supplies	36,360	25,472	10,888
Dues and subscriptions	10,200	5,821	4,379
Insurance and bonds	5,350	9,877	(4,527)
Tax billing and collection	14,500	19,850	(5,350)
Contracted services	92,996	77,109	15,887
Capital outlay - equipment	4,250	3,701	549
Total	<u>767,731</u>	<u>610,614</u>	<u>157,117</u>
Planning:			
Salaries and employee benefits	467,111	382,889	84,222
Payroll taxes	27,543	23,004	4,539
Travel and training	18,500	3,419	15,081
Telephone	4,110	2,481	1,629
Postage	2,000	196	1,804
Utilities	990	493	497
Advertising	3,000	1,525	1,475
Departmental supplies	40,075	11,906	28,169
Dues and subscriptions	2,754	2,557	197
Contracted services	252,260	98,279	153,981
Insurance and bonds	4,900	4,289	611
Capital outlay - equipment	85,000	252	84,748
Total	<u>908,243</u>	<u>531,290</u>	<u>376,953</u>

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 6

General Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Fiscal Year Ended June 30, 2023
(Continued)

	Budget	Actual	Variance Positive (Negative)
Legal:			
Dues and subscriptions	\$ 250	\$ 40	\$ 210
Travel and training	750	300	450
Professional services	70,500	70,231	269
Total	<u>71,500</u>	<u>70,571</u>	<u>929</u>
Public buildings (Engineering):			
Salaries and employee benefits	297,603	226,850	70,753
Payroll taxes	14,521	13,884	637
Telephone	4,530	3,880	650
Travel and training	3,800	3,080	720
Advertising	600	325	275
Postage	250	196	54
Utilities	990.00	394	596
Vehicle repairs	1,300	2,247	(947)
Departmental supplies	9,650	8,314	1,336
Dues and subscriptions	2,200	1,951	249
Contracted services	200,320	43,521	156,799
Miscellaneous	2,187	2,187	-
Insurance	4,800	4,189	611
Total	<u>542,751</u>	<u>311,018</u>	<u>231,733</u>
Total general government	<u>2,490,304</u>	<u>1,682,092</u>	<u>808,212</u>
Public safety:			
Police:			
Salaries and employee benefits	1,435,788	1,283,891	151,897
Payroll taxes	86,315	78,514	7,801
Separation benefit	42,174	42,336	(162)
Federal asset forfeiture	-	9,735	(9,735)
Telephone	18,564	14,153	4,411
Postage	500	197	303
Travel and training	8,500	7,651	849
Maintenance - equipment	4,000	3,862	138
Vehicle repairs	29,400	27,858	1,542
Automotive supplies	50,000	41,900	8,100
Departmental supplies	70,497	49,929	20,568
Advertising	500	100	400
Contracted services	22,827	27,484	(4,657)
Uniforms and accessories	21,900	10,821	11,079
Dues and subscriptions	5,285	5,109	176
Insurance and bonds	41,900	39,375	2,525
Investigations	3,000	2,033	967
Community policing support	6,500	6,069	431
Capital outlay - equipment	224,790	242,984	(18,194)
Total	<u>2,072,440</u>	<u>1,894,001</u>	<u>178,439</u>

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 6

General Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Fiscal Year Ended June 30, 2023
(Continued)

	<u>Budget</u>	<u>Actual</u>	<u>Variance Positive (Negative)</u>
Fire:			
Pittsboro Volunteer Fire and Rescue			
Department - contribution	\$ 1,141,468	\$ 1,141,468	\$ -
Total	<u>1,141,468</u>	<u>1,141,468</u>	<u>-</u>
 Total public safety	 <u>3,213,908</u>	 <u>3,035,469</u>	 <u>178,439</u>
Transportation:			
Streets and maintenance:			
Salaries and employee benefits	361,987	287,872	74,115
Payroll taxes	20,548	16,271	4,277
Advertising	2,000	100	1,900
Travel and training	1,900	2,118	(218)
Telephone and postage	4,620	4,183	437
Utilities	65,000	77,108	(12,108)
Maintenance - equipment	7,000	5,357	1,643
Vehicle repairs	4,250	4,912	(662)
Automotive supplies	20,000	13,395	6,605
Maintenance and repairs - building	2,000	2,797	(797)
Departmental supplies	33,400	22,969	10,431
Contracted services	18,000	13,334	4,666
Dues and subscriptions	500	97	403
Insurance and bonds	15,900	14,251	1,649
Powell bill	125,000	144,359	(19,359)
Total	<u>732,105</u>	<u>610,304</u>	<u>121,801</u>
Public Works:			
Utilities	15,000	10,875	4,125
Maintenance and repairs - building	3,140	1,135	2,005
Maintenance - equipment	4,000	-	4,000
Contracted services	83,800	68,367	15,433
Insurance and bonds	2,200	2,300	(100)
Departmental supplies	2,500	3,072	(572)
Total	<u>110,640</u>	<u>85,749</u>	<u>24,891</u>
 Total transportation	 <u>842,745</u>	 <u>696,053</u>	 <u>146,692</u>

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 6

General Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
For the Fiscal Year Ended June 30, 2023
(Continued)

	<u>Budget</u>	<u>Actual</u>	<u>Variance Positive (Negative)</u>
Cultural and recreational:			
Recreation:			
Salaries and employee benefits	\$ 238,714	\$ 160,437	\$ 78,277
Payroll taxes	14,010	8,977	5,033
Travel and training	2,500	2,389	111
Contracted services	170,160	138,675	31,485
Telephone and postage	4,320	3,263	1,057
Utilities	12,000	7,545	4,455
Departmental supplies	12,200	10,529	1,671
Building and grounds maintenance	208,920	98,659	110,261
Automotive maintenance and repair	5,000	2,216	2,784
Events and programming	1,500	3,432	(1,932)
Insurance and bonds	3,900	2,518	1,382
Dues and subscriptions	11,500	9,571	1,929
Total	<u>786,724</u>	<u>505,847</u>	<u>280,877</u>
Economic and physical development:			
Salaries and employee benefits	-	1,321	(1,321)
Payroll taxes	-	84	(84)
Total	<u>-</u>	<u>1,405</u>	<u>(1,405)</u>
Environmental protection:			
Sanitation	<u>535,000</u>	<u>532,120</u>	<u>2,880</u>
Total	<u>535,000</u>	<u>532,120</u>	<u>2,880</u>
Main street/downtown:			
Main Street façade/downtown improvements	<u>85,000</u>	<u>34,833</u>	<u>50,167</u>
Total	<u>85,000</u>	<u>34,833</u>	<u>50,167</u>
Debt service:			
Principal	118,771	148,832	(30,061)
Interest	<u>5,462</u>	<u>11,623</u>	<u>(6,161)</u>
Total	<u>124,233</u>	<u>160,455</u>	<u>(36,222)</u>
Total expenditures	<u>8,077,914</u>	<u>6,648,274</u>	<u>1,429,640</u>

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 6

General Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
For the Fiscal Year Ended June 30, 2023
(Continued)

	<u>Budget</u>	<u>Actual</u>	Variance Positive (Negative)
Revenues over (under) expenditures	\$ (394,691)	\$ 1,183,092	\$ 1,577,783
Other financing sources (uses):			
Transfers from other funds	1,830,044	696,035	(1,134,009)
Transfers (to) from other funds:	<u>(1,435,353)</u>	<u>(1,435,353)</u>	<u>-</u>
Total	<u>394,691</u>	<u>(739,318)</u>	<u>(1,134,009)</u>
Fund balance appropriated	<u>-</u>	<u>-</u>	<u>-</u>
Net change in fund balance	<u><u>\$ -</u></u>	443,774	<u><u>\$ 443,774</u></u>
Fund balance, beginning		<u>6,301,838</u>	
Fund balance, ending		<u><u>\$ 6,745,612</u></u>	

TOWN OF PITTSBORO, NORTH CAROLINA
Combining Balance Sheet
Non-Major Governmental Funds
For the Fiscal Year Ended June 30, 2023

Schedule 7

	Capital Projects Fund	Town Hall Project	PESR Culvert Project	Traffic Circle Project	Parks and Recreation Project	Sidewalks and Greenways Project	Building and Grounds Project	Affordable Housing Project	Police Station Project	Total Nonmajor Governmental Funds
ASSETS										
Cash and cash equivalents	\$ 7,123	\$ 814,358	\$ 35,960	\$ 59,069	\$1,053,590	\$ 201,651	\$ 50,000	\$ 161,725	\$ 100,000	\$ 2,383,476
Due from other governments	-	-	-	-	-	-	-	-	-	-
Total assets	<u>\$ 7,123</u>	<u>\$ 814,358</u>	<u>\$ 35,960</u>	<u>\$ 59,069</u>	<u>\$1,053,590</u>	<u>\$ 201,651</u>	<u>\$ 50,000</u>	<u>\$ 161,725</u>	<u>\$ 100,000</u>	<u>\$ 2,383,476</u>
LIABILITIES										
Accounts payable	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 7,701	\$ -	\$ -	\$ -	\$ 7,701
Due to other funds	-	-	-	-	-	-	-	-	-	-
Total liabilities	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 7,701</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 7,701</u>
FUND BALANCES										
Designated for specific purposes	<u>7,123</u>	<u>814,358</u>	<u>35,960</u>	<u>59,069</u>	<u>1,053,590</u>	<u>193,950</u>	<u>50,000</u>	<u>161,725</u>	<u>100,000</u>	<u>2,375,775</u>
Total liabilities and fund balances	<u>\$ 7,123</u>	<u>\$ 814,358</u>	<u>\$ 35,960</u>	<u>\$ 59,069</u>	<u>\$1,053,590</u>	<u>\$ 201,651</u>	<u>\$ 50,000</u>	<u>\$ 161,725</u>	<u>\$ 100,000</u>	<u>\$ 2,383,476</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances
Non-Major Governmental Funds
For the Fiscal Year Ended June 30, 2023

Schedule 8

	Capital Projects Fund	Town Hall Project	PESR Culvert Project	Traffic Circle Project	Parks and Recreation Project	Sidewalks and Greenways Project	Building and Grounds Project	Affordable Housing Project	Police Station Project	Total Nonmajor Governmental Funds
REVENUES										
Restricted intergovernmental	\$ -	\$ -	\$ -	\$ -	\$ (50,000)	\$ -	\$ -	\$ -	\$ -	\$ (50,000)
Investment earnings	69	-	-	-	-	-	-	-	-	69
Total revenues	69	-	-	-	(50,000)	-	-	-	-	(49,931)
EXPENDITURES										
Economic and physical development	-	-	-	-	-	-	-	-	-	-
Transportation	-	-	-	-	-	-	-	-	-	-
Cultural and recreation	-	-	-	-	-	201,848	-	-	-	201,848
Total expenditures	-	-	-	-	-	201,848	-	-	-	201,848
Excess (deficiency) of revenues over expenditures	69	-	-	-	(50,000)	(201,848)	-	-	-	(251,779)
OTHER FINANCING SOURCES (USES)										
Transfers from other funds										
General Fund	-	105,000	-	52,552	925,000	220,000	50,000	85,353	100,000	1,437,905
Transfers to other funds:										
General Fund	-	-	-	-	-	-	-	-	-	-
Net change in fund balance	69	105,000	-	52,552	875,000	18,152	50,000	85,353	100,000	1,186,126
Fund balances, beginning	7,054	709,358	35,960	6,517	178,590	175,798	-	76,372	-	1,189,649
Fund balances, ending	<u>\$ 7,123</u>	<u>\$ 814,358</u>	<u>\$ 35,960</u>	<u>\$ 59,069</u>	<u>\$ 1,053,590</u>	<u>\$ 193,950</u>	<u>\$ 50,000</u>	<u>\$ 161,725</u>	<u>\$ 100,000</u>	<u>\$ 2,375,775</u>

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 9

Capital Projects Fund

Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
For the Year Ended June 30, 2023

	Final Budget	Actual	Positive (Negative)
Revenues:			
Investment earnings	\$ 10	\$ 69	\$ 59
Total revenues	10	69	59
Other Financing Sources (Uses)			
Transfer to General Fund	-	-	-
Fund balance appropriated	(10)	-	10
Net change in fund balance	\$ -	69	\$ 69
Fund balance, beginning		7,054	
Fund balance, ending		\$ 7,123	

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 10

Capital Projects Fund - Town Hall Project

Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual

From Inception and For the Year Ended June 30, 2023

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Town contribution	\$2,971,935	\$2,982,835	\$ 105,000	\$3,087,835	\$ 115,900
Total revenues	2,971,935	2,982,835	105,000	3,087,835	115,900
Expenditures:					
Land purchase	900,000	900,000	-	900,000	-
Site assessments	61,450	20,930	-	20,930	40,520
Closing costs	8,830	10,935	-	10,935	(2,105)
Design services	1,656,630	1,154,693	-	1,154,693	501,937
Demolition	157,707	157,706	-	157,706	1
LEED services	63,400	-	-	-	63,400
Water and Sewer design services	33,300	-	-	-	33,300
Solar PV analysis	2,900	-	-	-	2,900
USDA Application services	17,000	8,230	-	8,230	8,770
Contingency	70,718	20,983	-	20,983	49,735
Total expenditures	2,971,935	2,273,477	-	2,273,477	698,458
Revenues over (under) expenditures	-	709,358	105,000	814,358	814,358
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	-	-	-	-	-
Total other financing sources (uses)	-	-	-	-	-
Net change in fund balance	\$ -	\$ 709,358	105,000	\$ 814,358	\$ 814,358
Fund balance, beginning			709,358		
Fund balance, ending			\$ 814,358		

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 11

Capital Projects Fund - PESR Culvert Project

Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual

From Inception and For the Year Ended June 30, 2023

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Town contribution	\$ 147,318	\$ 147,318	\$ -	\$ 147,318	\$ -
Total revenues	147,318	147,318	-	147,318	-
Expenditures:					
Survey and design services	147,318	111,358	-	111,358	35,960
Total expenditures	147,318	111,358	-	111,358	35,960
Revenues over (under) expenditures	-	35,960	-	35,960	35,960
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	-	-	-	-	-
Total other financing sources (uses)	-	-	-	-	-
Net change in fund balance	<u>\$ -</u>	<u>\$ 35,960</u>	-	<u>\$ 35,960</u>	<u>\$ 35,960</u>
Fund balance, beginning			<u>35,960</u>		
Fund balance, ending			<u>\$ 35,960</u>		

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 12

Capital Projects Fund - Traffic Circle Project

Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual

From Inception and For the Year Ended June 30, 2023

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Town contribution	\$ 221,148	\$ 221,148	\$ 52,552	\$ 273,700	\$ 52,552
Total revenues	221,148	221,148	52,552	273,700	52,552
Expenditures:					
Waterman upsizing	95,038	86,570	-	86,570	8,468
Safety handrails	13,110	5,847	-	5,847	7,263
Utility Relocation	93,000	122,214	-	122,214	(29,214)
Utility burial	20,000	-	-	-	20,000
Total expenditures	221,148	214,631	-	214,631	6,517
Revenues over (under) expenditures	-	6,517	52,552	59,069	59,069
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	-	-	-	-	-
Total other financing sources (uses)	-	-	-	-	-
Net change in fund balance	\$ -	\$ 6,517	52,552	\$ 59,069	\$ 59,069
Fund balance, beginning			6,517		
Fund balance, ending			\$ 59,069		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund - Parks and Recreation Project
Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2023

Schedule 13

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Donations	\$ 50,000	\$ 50,000	\$ (50,000)	\$ -	\$ (50,000)
Total revenues	50,000	50,000	(50,000)	-	(50,000)
Expenditures:					
General maintenance	50,000	-	-	-	50,000
Total expenditures	50,000	-	-	-	50,000
Revenues over (under) expenditures	-	50,000	(50,000)	-	-
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	-	128,590	925,000	1,053,590	1,053,590
Total other financing sources (uses)	-	128,590	925,000	1,053,590	1,053,590
Net change in fund balance	<u>\$ -</u>	<u>\$ 178,590</u>	875,000	<u>\$1,053,590</u>	<u>\$ 1,053,590</u>
Fund balance, beginning			<u>178,590</u>		
Fund balance, ending			<u>\$1,053,590</u>		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund - Sidewalks and Greenways Project
Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2023

Schedule 14

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Donations	\$ -	\$ -	\$ -	\$ -	\$ -
Total revenues	-	-	-	-	-
Expenditures:					
Robeson Creek	-	48,351	-	48,351	(48,351)
NCDOT TAP	10,000	-	-	-	10,000
Tarpo sidewalk	210,000	44,202	201,848	246,050	(36,050)
Total expenditures	220,000	92,553	201,848	294,401	(74,401)
Revenues over (under) expenditures	(220,000)	(92,553)	(201,848)	(294,401)	(74,401)
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	220,000	268,351	220,000	488,351	268,351
Total other financing sources (uses)	220,000	268,351	220,000	488,351	268,351
Net change in fund balance	<u>\$ -</u>	<u>\$ 175,798</u>	18,152	<u>\$ 193,950</u>	<u>\$ 193,950</u>
Fund balance, beginning			<u>175,798</u>		
Fund balance, ending			<u>\$ 193,950</u>		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund - Affordable Housing Project Fund
Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2023

Schedule 15

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Expenditures:					
Reserve for future improvements	\$ 85,353	\$ -	\$ -	\$ -	\$ 85,353
Total expenditures	85,353	-	-	-	85,353
Revenues over (under) expenditures	(85,353)	-	-	-	85,353
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	85,353	76,372	85,353	161,725	76,372
Total other financing sources (uses)	85,353	76,372	85,353	161,725	76,372
Net change in fund balance	<u>\$ -</u>	<u>\$ 76,372</u>	85,353	<u>\$ 161,725</u>	<u>\$ 161,725</u>
Fund balance, beginning			<u>76,372</u>		
Fund balance, ending			<u>\$ 161,725</u>		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund - Buildings and Grounds Project
Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2023

Schedule 16

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Donations	\$ -	\$ -	\$ -	\$ -	\$ -
Total revenues	-	-	-	-	-
Expenditures:					
Building Study	50,000	-	-	-	50,000
Total expenditures	50,000	-	-	-	50,000
Revenues over (under) expenditures	(50,000)	-	-	-	50,000
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	50,000	-	50,000	50,000	-
Total other financing sources (uses)	50,000	-	50,000	50,000	-
Net change in fund balance	<u>\$ -</u>	<u>\$ -</u>	50,000	<u>\$ 50,000</u>	<u>\$ 50,000</u>
Fund balance, beginning			-		
Fund balance, ending			<u>\$ 50,000</u>		

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 17

Capital Projects Fund - Police Station Project

Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual

From Inception and For the Year Ended June 30, 2023

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Donations	\$ -	\$ -	\$ -	\$ -	\$ -
Total revenues	-	-	-	-	-
Expenditures:					
Building Study	100,000	-	-	-	100,000
Total expenditures	100,000	-	-	-	100,000
Revenues over (under) expenditures	(100,000)	-	-	-	100,000
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	100,000	-	100,000	100,000	-
Total other financing sources (uses)	100,000	-	100,000	100,000	-
Net change in fund balance	<u>\$ -</u>	<u>\$ -</u>	100,000	<u>\$ 100,000</u>	<u>\$ 100,000</u>
Fund balance, beginning			-		
Fund balance, ending			<u>\$ 100,000</u>		

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 18

Water and Sewer Fund

Schedule of Revenues and Expenditures

Budget and Actual (Non - GAAP)

For the Fiscal Year Ended June 30, 2023

	Budget	Actual	Variance Positive (Negative)
Revenues:			
Water sales	\$ 2,885,200	\$ 3,815,542	\$ 930,342
Sewer charges	2,042,400	2,307,971	265,571
Reuse water charges	77,126	77,040	(86)
Reconnection fees and penalties	35,000	156,880	121,880
Grants	-	52,118	52,118
Miscellaneous	26,500	398,139	371,639
Total operating revenues	<u>5,066,226</u>	<u>6,807,690</u>	<u>1,741,464</u>
Restricted intergovernmental:			
ARP funds	<u>696,035</u>	<u>696,035</u>	<u>-</u>
Nonoperating revenues:			
Interest earnings	1,500	49,838	48,338
Total revenues	<u>5,763,761</u>	<u>7,553,563</u>	<u>1,789,802</u>
Expenditures:			
Administrative			
Salaries and employee benefits	931,649	918,857	12,792
Payroll taxes	42,810	50,178	(7,368)
Professional services/Jordan Lake allocation	9,000	9,000	-
Travel and training	1,600	560	1,040
Telephone and postage	16,400	15,548	852
Utilities	660.00	443	217
Departmental supplies	4,700	2,314	2,386
Vehicle and equipment maintenance	1,400	-	1,400
Dues and subscriptions	5,436	5,616	(180)
Insurance	5,750	5,517	233
Contracted services	1,864,375	1,011,704	852,671
Miscellaneous	31,544	46,366	(14,822)
Total	<u>2,915,324</u>	<u>2,066,103</u>	<u>849,221</u>
Water operations:			
Salaries and employee benefits	481,847	376,781	105,066
Payroll taxes	27,233	21,020	6,213
Telephone and postage	11,800	10,839	961
Travel and training	3,000	1,575	1,425
Supplies	63,925	47,597	16,328
Advertising	250	-	250
Dues and subscriptions	1,200	643	557
Insurance	15,950	14,384	1,566
Chemicals	640,000	516,921	123,079
Contracted services	150,000	149,943	57
Building and grounds maintenance	50,000	48,717	1,283
Vehicle and equipment maintenance	31,600	22,394	9,206
Utilities	84,000	83,857	143
Other operating expenditures	3,050	2,719	331
Total	<u>1,563,855</u>	<u>1,297,390</u>	<u>266,465</u>

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 18

**Water and Sewer Fund
Schedule of Revenues and Expenditures
Budget and Actual (Non - GAAP)
For the Fiscal Year Ended June 30, 2023
(Continued)**

	Budget	Actual	Variance Positive (Negative)
Sewer treatment:			
Salaries and employee benefits	\$ 323,254	\$ 320,675	\$ 2,579
Payroll taxes	18,672	17,760	912
Telephone and postage	7,380	6,862	518
Travel and training	2,000	1,275	725
Supplies	31,000	19,351	11,649
Dues and subscriptions	3,000	1,567	1,433
Insurance	12,650	11,412	1,238
Chemicals	64,500	46,821	17,679
Contracted services	206,000	196,196	9,804
Vehicle and equipment maintenance	39,000	40,447	(1,447)
Buildings and grounds maintenance	33,000	33,662	(662)
Utilities	72,000	66,968	5,032
Other operating expenditures	7,500	3,083	4,417
Total	<u>819,956</u>	<u>766,079</u>	<u>53,877</u>
Public utilities:			
Salaries and employee benefits	370,897	294,786	76,111
Payroll taxes	21,083	16,334	4,749
Telephone and postage	6,780	6,069	711
Travel and training	2,800	640	2,160
Supplies	169,950	128,708	41,242
Advertising	500	137	363
Dues and subscriptions	2,250	2,320	(70)
Insurance	15,400	13,254	2,146
Contracted services	39,000	34,685	4,315
Vehicle and equipment maintenance	186,000	74,643	111,357
Other operating expenditures	2,300	2,863	(563)
Total	<u>816,960</u>	<u>574,439</u>	<u>242,521</u>
Debt service:			
Interest and other charges	14,704	14,708	(4)
Principal	129,551	129,625	(74)
Total	<u>144,255</u>	<u>144,333</u>	<u>(78)</u>
Capital outlay:			
Administrative - equipment	45,000	-	45,000
Water operations - equipment	55,000	8,011	46,989
Sewer treatment - building	15,000	13,818	1,182
Sewer treatment - equipment	68,000	6,105	61,895
Project funds capital outlay	0	-	-
Total	<u>183,000</u>	<u>27,934</u>	<u>155,066</u>
Total expenditures	<u>6,443,350</u>	<u>4,876,278</u>	<u>1,567,072</u>

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 18

Water and Sewer Fund
Schedule of Revenues and Expenditures
Budget and Actual (Non - GAAP)
For the Fiscal Year Ended June 30, 2023
(Continued)

	Budget	Actual	Variance Positive (Negative)
Revenues over (under) expenditures	\$ (679,589)	\$ 2,677,285	\$ 3,356,874
Other financing sources (uses):			
Transfers from other funds	-	2,112,033	2,112,033
Transfers to other funds	(2,004,121)	(2,860,620)	(856,499)
Payments from Chatham Park	1,777,130	933,261	(843,869)
Total	<u>(226,991)</u>	<u>184,674</u>	<u>411,665</u>
Fund balance appropriated	<u>906,580</u>	<u>-</u>	<u>906,580</u>
Revenues and other sources over (under) expenditures and other uses	<u>\$ -</u>	2,861,959	<u>\$ 2,861,959</u>
Reconciliation from budgetary basis (modified accrual) to full accrual:			
Revenues and other sources under expenditures and other uses		<u>\$ 2,861,959</u>	
Reconciling items:			
Payment of debt principal		129,625	
Depreciation		(572,078)	
Investment earnings in Water and Sewer Capital Reserve Fund and Fund 70		23,589	
Water and sewer access charges		<u>1,119,895</u>	
Total reconciling items		<u>701,031</u>	
Change in net position		<u>\$ 3,562,990</u>	

TOWN OF PITTSBORO, NORTH CAROLINA
Water and Sewer System Development Reserve Fund
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Fiscal Year Ended June 30, 2023

Schedule 19

	Budget	Actual	Variance Positive (Negative)
Revenues:			
Investment earnings	\$ 500	\$ 23,589	\$ 23,089
Water SDF charges	400,000	680,597	280,597
Waste water SDF charges	400,000	439,298	39,298
	<u>800,500</u>	<u>1,143,484</u>	<u>342,984</u>
Total revenues			
	<u>800,500</u>	<u>1,143,484</u>	<u>342,984</u>
Expenditures:			
Water / Waste Water improvements	<u>-</u>	<u>-</u>	<u>-</u>
Total expenditures	<u>-</u>	<u>-</u>	<u>-</u>
Other financing sources (uses):			
Transfer to other funds	475,000	-	(475,000)
Total other sources	<u>475,000</u>	<u>-</u>	<u>(475,000)</u>
Fund balance appropriated	<u>(325,500)</u>	<u>-</u>	<u>325,500</u>
Revenues and other sources over (under) expenditures and other uses	<u>\$ -</u>	1,143,484	<u>\$ 193,484</u>
Fund balance, beginning		<u>1,961,569</u>	
Fund balance, ending		<u>\$ 3,105,053</u>	

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund - Sanford Forcemain Project
Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2023

Schedule 20

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Town contribution	\$2,004,721	\$1,934,721	\$ -	\$1,934,721	\$ (70,000)
Total revenues	2,004,721	1,934,721	-	1,934,721	(70,000)
Expenditures:					
Surveying/design & permitting	1,278,000	1,271,889	73,914	1,345,803	(67,803)
Bidding and negotiating	5,500	4,054	3,095	7,149	(1,649)
Construction contract admin	130,000	6,825	-	6,825	123,175
Construction observation	247,100	-	-	-	247,100
Geotechnical investigation	38,500	36,850	-	36,850	1,650
CWSRF administration	15,000	-	-	-	15,000
Application Fees	28,125	-	-	-	28,125
Utility easements	245,596	30,086	34,701	64,787	180,809
As-Built survey	16,900	-	-	-	16,900
Total expenditures	2,004,721	1,349,704	111,710	1,461,414	543,307
Revenues over (under) expenditures	-	585,017	(111,710)	473,307	473,307
Other Financing Sources (Uses)					
Transfers in (out)					
Water and Sewer Fund	-	-	-	-	-
Total other financing sources (uses)	-	-	-	-	-
Net change in fund balance	\$ -	\$ 585,017	(111,710)	\$ 473,307	\$ 473,307
Fund balance, beginning			585,017		
Fund balance, ending			\$ 473,307		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund - Wastewater Asset Inventory and Assessment Project
Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2023

Schedule 21

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
DEQ grant	\$ 150,000	\$ 149,226	\$ -	\$ 149,226	\$ (774)
Town contribution	30,250	30,000	-	30,000	(250)
Total revenues	180,250	179,226	-	179,226	(1,024)
Expenditures:					
Sewer collection improvements	78,200	80,190	-	80,190	(1,990)
Asset prioritization tool in GIS	30,000	24,736	-	24,736	5,264
Cost planning and CIP tool	27,000	40,536	-	40,536	(13,536)
Enhanced CIP development	24,000	24,000	-	24,000	-
Work order process and improvement	18,800	5,264	-	5,264	13,536
Grant fee	2,250	2,250	-	2,250	-
Total expenditures	180,250	176,976	-	176,976	3,274
Revenues over (under) expenditures	-	2,250	-	2,250	2,250
Other Financing Sources (Uses)					
Transfers in (out)					
Water and Sewer Fund	-	(22,904)	-	(22,904)	(22,904)
Total other financing sources (uses)	-	(22,904)	-	(22,904)	(22,904)
Net change in fund balance	<u>\$ -</u>	<u>\$ (20,654)</u>	-	<u>\$ (20,654)</u>	<u>\$ (20,654)</u>
Fund balance, beginning			<u>(20,654)</u>		
Fund balance, ending			<u>\$ (20,654)</u>		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund - Water Asset Inventory and Assessment Project
Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2023

Schedule 22

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Town contribution	\$ 30,000	\$ 30,000	\$ -	\$ 30,000	\$ -
DEQ grant	150,000	97,882	52,118	150,000	-
Total revenues	180,000	127,882	52,118	180,000	-
Expenditures:					
Improvements/assessment	177,750	180,000	-	180,000	(2,250)
Grant fee	2,250	2,250	-	2,250	-
Total expenditures	180,000	182,250	-	182,250	(2,250)
Revenues over (under) expenditures	-	(54,368)	52,118	(2,250)	(2,250)
Other Financing Sources (Uses)					
Transfers in (out)					
Water and Sewer Fund	-	-	-	-	-
Total other financing sources (uses)	-	-	-	-	-
Net change in fund balance	<u>\$ -</u>	<u>\$ (54,368)</u>	52,118	<u>\$ (2,250)</u>	<u>\$ (2,250)</u>
Fund balance, beginning			<u>(54,368)</u>		
Fund balance, ending			<u>\$ (2,250)</u>		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund - Water Plant Improvement Project
Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2023

Schedule 23

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Town contribution	\$ 1,200,000	\$ 1,200,000	\$ -	\$ 1,200,000	\$ -
ARP Funds from Enterprise	1,392,070	-	1,392,070	1,392,070	-
Total revenues	2,592,070	1,200,000	1,392,070	2,592,070	-
Expenditures:					
Permitting/design	400,000	526,500	-	526,500	(126,500)
Materials / supplies / equipment	2,390,666	1,016,654	1,343,249	2,359,903	30,763
Jordan Lake partnership	12,000	-	7,443	7,443	4,557
Western intake partnership	371,705	-	81,836	81,836	289,869
GAC	2,096,035	-	284,018	284,018	1,812,017
Water filling station	25,000	-	6,343	6,343	18,657
Total expenditures	5,295,406	1,543,154	1,722,889	3,266,043	2,029,363
Revenues over (under) expenditures	(2,703,336)	(343,154)	(330,819)	(673,973)	2,029,363
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	-	-	(696,035)	(696,035)	(696,035)
Water and Sewer Fund	1,590,666	1,590,666	383,705	1,974,371	383,705
Total other financing sources (uses)	1,590,666	1,590,666	(312,330)	1,278,336	(312,330)
Net change in fund balance	<u><u>\$(1,112,670)</u></u>	<u><u>\$1,247,512</u></u>	(643,149)	<u><u>\$ 604,363</u></u>	<u><u>\$ 1,717,033</u></u>
Fund balance, beginning			<u>1,247,512</u>		
Fund balance, ending			<u><u>\$ 604,363</u></u>		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund - Water Extensions and Maintenance Fund
Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2023

Schedule 24

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
PBD Moncure Water Revenue	\$ 225,000	\$ -	\$ 174,852	\$ 174,852	\$ (50,148)
Total revenues	225,000	-	174,852	174,852	(50,148)
Expenditures:					
Hydrants	35,000	41,250	-	41,250	(6,250)
PBO Moncure water line	207,500	215,222	76,199	291,421	(83,921)
Total expenditures	242,500	256,472	76,199	332,671	(90,171)
Revenues over (under) expenditures	(17,500)	(256,472)	98,653	(157,819)	(140,319)
Other Financing Sources (Uses)					
Transfers in (out)					
Water and Sewer Fund	362,500	242,500	35,000	277,500	(85,000)
Total other financing sources (uses)	362,500	242,500	35,000	277,500	(85,000)
Net change in fund balance	<u>\$ 345,000</u>	<u>\$ (13,972)</u>	133,653	<u>\$ 119,681</u>	<u>\$ (225,319)</u>
Fund balance, beginning			<u>(13,972)</u>		
Fund balance, ending			<u>\$ 119,681</u>		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund - Sewer Extensions and Maintenance Fund
Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2023

Schedule 25

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Town contribution	\$ -	\$ -	\$ -	\$ -	\$ -
ARPA grant	4,700,000	-	-	-	(4,700,000)
Total revenues	4,700,000	-	-	-	(4,700,000)
Expenditures:					
Permitting/design	35,000	-	-	-	35,000
Materials / supplies / equipment	415,000	-	-	-	415,000
Find-it fix-it sewer rehabilitation	4,450,000	-	95,500	95,500	4,354,500
Waste water master plan	250,000	-	9,350	9,350	240,650
Robeson Creek	250,000	-	-	-	250,000
Total expenditures	5,400,000	-	104,850	104,850	5,295,150
Revenues over (under) expenditures	(700,000)	-	(104,850)	(104,850)	595,150
Other Financing Sources (Uses)					
Transfers in (out)					
Water and Sewer Fund	520,000	450,000	35,000	485,000	(35,000)
Total other financing sources (uses)	520,000	450,000	35,000	485,000	(35,000)
Net change in fund balance	<u>\$ (180,000)</u>	<u>\$ 450,000</u>	(69,850)	<u>\$ 380,150</u>	<u>\$ 560,150</u>
Fund balance, beginning			<u>450,000</u>		
Fund balance, ending			<u>\$ 380,150</u>		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund - Sanford Regionalization Project Fund
Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2023

Schedule 26

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Expenditures:					
Contracted services	\$ 150,000	\$ -	\$ 110,171	\$ 110,171	\$ 39,829
Total expenditures	150,000	-	110,171	110,171	39,829
Revenues over (under) expenditures	(150,000)	-	(110,171)	(110,171)	39,829
Other Financing Sources (Uses)					
Transfers in (out)					
Water and Sewer Fund	150,000	-	150,000	150,000	-
Total other financing sources (uses)	150,000	-	150,000	150,000	-
Net change in fund balance	<u>\$ -</u>	<u>\$ -</u>	39,829	<u>\$ 39,829</u>	<u>\$ 39,829</u>
Fund balance, beginning			-		
Fund balance, ending			<u>\$ 39,829</u>		

OTHER SCHEDULES

TOWN OF PITTSBORO, NORTH CAROLINA
Schedule of Ad Valorem Taxes Receivable
June 30, 2023

Schedule 27

<u>Fiscal Year</u>	<u>Uncollected Balance June 30, 2022</u>	<u>Additions</u>	<u>Collections And Credits</u>	<u>Uncollected Balance June 30, 2023</u>
2022-2023	\$ -	\$ 3,851,524	\$ 3,843,477	\$ 8,047
2021-2022	20,727	-	16,096	4,631
2020-2021	2,899	-	1,521	1,378
2019-2020	1,652	-	593	1,059
2018-2019	786	-	173	613
2017-2018	981	-	20	961
2016-2017	1,019	-	136	883
2015-2016	938	-	38	900
2014-2015	767	-	11	756
2013-2014	15,843	-	3	15,840
2012-2013	17,079	-	17,079	-
2011-2012	16,339	-	16,339	-
2010-2011	189	-	189	-
2009-2010	200	-	200	-
2008-2009	216	-	216	-
2007-2008	68	-	68	-
	<u>\$ 79,703</u>	<u>\$ 3,851,524</u>	<u>\$ 3,896,159</u>	<u>35,068</u>
Less: allowance for uncollectible accounts:				
General Fund				<u>13,067</u>
Ad valorem taxes receivable - net				<u>\$ 48,135</u>
<u>Reconciliation with revenues:</u>				
Ad valorem taxes - General Fund				\$ 3,895,751
Reconciling items:				
Interest collected				(10,667)
Public service utilities				24,482
Other				(13,407)
Subtotal				<u>408</u>
Total collections and credits				<u>\$ 3,896,159</u>

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 28

Analysis of Current Tax Levy

Town-Wide Levy

For the Fiscal Year Ended June 30, 2023

	Town-Wide			Total Levy	
	Property Valuation	Rate	Total Levy	Property excluding Registered Motor Vehicles	Registered Motor Vehicles
Original levy:					
Property taxed at current rate	\$ 888,479,911	0.4333	\$ 3,850,050	\$ 3,492,657	\$ 357,393
Discoveries - current and prior years	\$ 4,159,935	0.4333	18,025	18,025	-
Releases	(3,819,755)	0.4333	(16,551)	(16,551)	-
Total Property Valuation	<u>\$ 888,820,091</u>				
Net levy			3,851,524	3,494,131	357,393
Uncollected taxes at June 30, 2023			<u>(8,047)</u>	<u>(8,047)</u>	<u>-</u>
Current year's taxes collected			<u>\$ 3,843,477</u>	<u>\$ 3,486,084</u>	<u>\$ 357,393</u>
Current levy collection percentage			<u>99.79%</u>	<u>99.77%</u>	<u>100.00%</u>

TOWN OF PITTSBORO, NORTH CAROLINA**Schedule 29****Assessed Value of All Taxable Property****(UNAUDITED)**

<u>Fiscal Period</u>	<u>Tax Rate per \$100</u>	<u>Real Property</u>	<u>Personal Property</u>	<u>Utilities</u>	<u>Total</u>
2013 - 2014	0.4033	462,524,849	23,647,126	5,783,435	491,955,410
2014 - 2015	0.4333	464,070,194	23,409,673	5,531,918	493,011,785
2015 - 2016	0.4333	455,685,691	19,486,252	5,958,098	481,130,041
2016 - 2017	0.4333	409,582,541	70,621,319	6,129,809	486,333,669
2017 - 2018	0.4333	488,124,070	48,528,911	6,619,413	543,272,394
2018 - 2019	0.4333	494,920,378	49,776,829	13,547,427	558,244,634
2019 - 2020	0.4333	512,817,659	51,225,065	6,142,893	570,185,617
2020 - 2021	0.4333	530,120,487	61,965,700	6,143,402	598,229,589
2021 - 2022	0.4333	844,758,118	72,285,231	6,445,665	923,489,014
2022 - 2023	0.4333	875,658,778	80,961,328	5,649,505	962,269,611

Property is assessed at 100% of estimated sound value.

* Revaluation

TOWN OF PITTSBORO, NORTH CAROLINA
Tax Levies and Tax Collections
(UNAUDITED)

Schedule 30

<u>Fiscal Period</u>	<u>Tax Levy</u>	<u>Collected Current</u>	<u>Percent Collected</u>	<u>Collected Prior Levies</u>	<u>Total Collected</u>	<u>Balances Delinquent</u>
2013 - 2014	1,927,978	1,887,582	97.90%	34,645	1,922,227	82,943
2014 - 2015	1,788,605	1,748,489	97.76%	28,135	1,776,624	97,295
2015 - 2016	2,052,235	2,038,198	99.32%	40,116	2,078,314	82,929
2016 - 2017	2,106,800	2,086,740	99.05%	30,736	2,117,476	66,053
2017 - 2018	2,354,766	2,345,654	99.61%	21,842	2,367,496	88,783
2018 - 2019	2,440,675	2,397,657	98.24%	20,259	2,417,916	110,432
2019 - 2020	2,473,042	2,438,902	98.62%	46,916	2,485,818	97,656
2020 - 2021	2,589,579	2,569,554	99.23%	38,257	2,607,811	79,424
2021 - 2022	3,520,357	3,499,630	99.41%	20,448	3,520,078	79,703
2022 - 2023	3,851,524	3,843,477	99.79%	3,880,063	3,896,159	35,068

TOWN OF PITTSBORO, NORTH CAROLINA
Revenues Other Than Property Taxes
(UNAUDITED)

Schedule 31

<u>Fiscal Period</u>	<u>Licenses and Permits</u>	<u>Interest</u>	<u>Revenues from Other Agencies</u>	<u>Other</u>	<u>Gross Revenues from Utilities</u>
2013 - 2014	61,413	4,828	963,700	1,293,227	2,881,948
2014 - 2015	119,006	3,548	1,215,396	771,437	3,390,942
2015 - 2016	27,793	2,312	1,267,141	960,898	2,784,697
2016 - 2017	201,876	2,367	1,399,530	1,506,236	2,933,170
2017 - 2018	101,133	2,192	1,497,494	1,004,422	3,019,279
2018 - 2019	79,936	4,465	1,605,616	1,011,343	3,019,279
2019 - 2020	93,854	24,761	2,338,612	855,163	4,432,393
2020 - 2021	88,144	3,529	2,501,752	749,643	3,977,530
2021 - 2022	106,368	8,206	2,428,720	794,756	6,495,128
2022 - 2023	155,258	156,326	2,596,609	1,608,816	9,158,741

TOWN OF PITTSBORO, NORTH CAROLINA
Expenditures for Selected Functions
(UNAUDITED)

Schedule 32

Fiscal Period	General Government	Public Safety	Streets and Sanitation	Cultural and Recreation	Economic and Physical Development	Debt Service	Utilities	
							Operating	Debt Service
2013 - 2014	765,887	1,369,288	751,058	103,548	-	-	2,218,912	491,350
2014 - 2015	890,893	1,551,766	763,518	209,035	94,614	36,434	2,224,071	475,285
2015 - 2016	904,393	1,612,821	899,793	300,939	263,435	50,380	2,979,079	396,948
2016 - 2017	912,404	1,708,071	882,945	262,643	311,841	137,431	2,924,057	21,932
2017 - 2018	782,910	1,833,503	885,174	242,140	317,873	140,688	2,960,501	190,886
2018 - 2019	891,953	2,049,114	961,942	229,002	256,083	104,647	3,256,985	163,550
2019 - 2020	1,050,347	2,067,320	1,319,040	141,388	265,009	132,976	3,874,959	157,099
2020 - 2021	1,002,901	2,154,823	963,435	62,538	424,750	86,049	3,892,334	138,974
2021 - 2022	1,341,196	2,436,618	1,152,484	261,174	237,385	124,155	3,970,040	144,277
2022 - 2023	1,682,091	3,035,467	1,228,173	505,847	1,404	160,455	5,304,020	144,333

COMPLIANCE SECTION



**Independent Auditors' Report On Internal Controls Over Financial Reporting And On
Compliance And Other Matters Based On An Audit Of Financial Statements Performed
In Accordance With *Government Auditing Standards***

To the Honorable Mayor
And Members of the Board of Commissioners
Town of Pittsboro
Pittsboro, North Carolina

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, the discretely presented component unit, each major fund, and the aggregate remaining fund information of the Town of Pittsboro (the "Town") as of and for the year ended June 30, 2023, and the related notes to the financial statements, which collectively comprise the Town's basic financial statements, and have issued our report thereon dated November 6, 2023.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the Town's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the Town's internal controls. Accordingly, we do not express an opinion on the effectiveness of the Town's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that have not been identified. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the Town's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal controls or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Town's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Sharpe Patel PLLC

Raleigh, North Carolina
November 6, 2023

TOWN OF PITTSBORO, NORTH CAROLINA
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2023

SECTION I - SUMMARY OF AUDITOR'S RESULTS

Financial Statements

Type of report the auditor issued on whether the financial statements audited were prepared
in accordance to GAAP: Unmodified

Internal control over financial reporting:

Material weaknesses identified?	_____	yes	_____	✓	no
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Significant deficiency(s) identified that are not considered to be material weaknesses?	_____	yes	_____	✓	none reported
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Noncompliance material to financial statements noted	_____	yes	_____	✓	no
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Federal Awards

Identification of major federal programs:

There are no major Federal awards.

State Awards

Identification of major State programs:

There are no major State awards.

TOWN OF PITTSBORO, NORTH CAROLINA
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2023

SECTION II - FINANCIAL STATEMENT FINDINGS

None reported.

SECTION III - FEDERAL AWARD FINDINGS AND QUESTIONED COSTS

None reported.

SECTION IV - STATE AWARD FINDINGS AND QUESTIONED COSTS

None reported.

TOWN OF PITTSBORO, NORTH CAROLINA
Summary Schedule of Piror Year Audit Findings
For the Year Ended June 30, 2023

No findings in the prior year.